

ABANS FINANCE PLC
FINANCIAL STATEMENTS
31 MARCH 2021

APAG/PML/DM

INDEPENDENT AUDITORS' REPORT TO THE SHAREHOLDERS OF ABANS FINANCE PLC

Report on the audit of the financial statements

Opinion

We have audited the financial statements of Abans Finance PLC ("the Company"), which comprise the statement of financial position as at 31 March 2021, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Company as at 31 March 2021, and of its financial performance and its cash flows for the year then ended in accordance with Sri Lanka Accounting Standards.

Basis for opinion

We conducted our audit in accordance with Sri Lanka Auditing Standards (SLAuSs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by CA Sri Lanka (Code of Ethics) and we have fulfilled our other ethical responsibilities in accordance with the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in the audit of the financial statements of the current period. These matters were addressed in the context of the audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For each matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's responsibilities for the audit of the financial statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the financial statements. The results of our audit procedures, including the procedures performed to address the matters below, provide the basis for our audit opinion on the accompanying financial statements.

(Contd..2/)

EY202106146489

Key audit matter	How our audit addressed the key audit matter
Impairment allowance on loans & leases: As at 31 March 2021, loans & advances and receivables from lease & hire purchase (net of impairment) amounted to Rs. 1,380 Million (Note 20) and Rs. 6,027 Million (Note 21) respectively net of total allowance for impairment of LKR 992.5 Million (Note 20.1 and 21.1). These collectively contributed 80% to the Company's total assets. As described in Note 4.1.10, impairment allowance on such financial assets carried at amortised cost is determined in accordance with Sri Lanka Accounting Standard – SLFRS 9 <i>Financial Instruments</i> (SLFRS 9). This was a key audit matter due to: - materiality of the reported impairment allowance which involved complex spread sheets calculations; and - the degree of assumptions, judgements and estimation uncertainty associated with the calculations. Key areas of significant judgements, estimates and assumptions used by management in the assessment of the impairment allowance included the following: - the probable impacts of COVID-19 and related industry responses (e.g. government stimulus packages and debt moratorium relief measures granted by the company); and - forward-looking macroeconomic factors, including developing and incorporating macroeconomic scenarios, given the wide range of potential economic outcomes and probable impacts from COVID-19 that may impact future expected credit losses.	We assessed the alignment of the company's impairment computations and underlying methodology with the requirements of SLFRS 9 with consideration of COVID-19 impacts and related industry responses based on the best available information up to the date of our report. Our audit procedures included amongst others the following: - We evaluated the design, implementation and operating effectiveness of controls where relevant over estimation of impairment of loans and advances, which included assessing the level of oversight, review and approval of impairment policies by the Board Audit Committee and management. - We checked the completeness and accuracy of the underlying data used in the computations by agreeing significant details to source documents and accounting records of the company. - We test-checked the underlying calculations. - In addition to the above, following focused procedures were performed: For a sample of loans and advances individually assessed for impairment: - Assessing the appropriateness of the criteria used by the management to determine whether there are any indicators of impairment; and - Evaluating the reasonableness of the provisions made with particular focus on the impact of COVID-19 on elevated risk industries, strategic responsive actions taken, collateral values, and the value and timing of future cashflows. For loans and advances collectively assessed for impairment: - Assessing the reasonableness of assumptions and estimates used by management including the reasonableness of forward-looking information and scenarios; and - As relevant, assessing the basis for and data used by management to determine overlays in consideration of the probable effects of the COVID-19 pandemic. - We assessed the adequacy of the related financial statement disclosures as set out in Note(s) 20 and 21.

(Contd..3/)

Key audit matter	How our audit addressed the key audit matter
IT systems and controls relevant to financial reporting The Company uses multiple IT systems in its operations. We selected IT systems and controls relevant to financial reporting as a key audit matter due to: ▸ The Company's financial reporting process being heavily dependent on information derived from its IT systems and ▸ Key financial statement disclosures involving the use of multiple system - generated reports and calculations there on ▸ A changed working environment of increased remote access	Our audit procedures included the following; • Understanding the security monitoring procedures over IT systems relevant to financial reporting, given the increase in remote access • Understanding and evaluating the design and operating effectiveness of key automated, IT dependent and manual controls implemented by management over generation of multiple system reports and gathering of required information in calculating the significant information for financial statements disclosures • Checking the source data of the reports used to generate significant disclosures for accuracy and completeness • Assessing the reasonability of management's general ledger reconciliation procedures which includes cross checking to system reports and source data where relevant
Impact of moratoriums and other relief measures on recognition of interest income Moratoriums and other relief measures were granted by the Company to customers affected by the COVID - 19 Pandemic. Impact of moratoriums and other relief measures on the recognition of interest revenue on loans & receivables and lease rentals receivable & stock out on hire was a key audit matter due to: • Significant judgments that were applied in determining whether such moratoriums and other relief measures have resulted in substantial modifications or not, to contracts with customers as set out in Note 4.1.10.(iv) to the financial statements • Use of spread sheet-based calculations by management to quantify the impacts of such moratoriums and other relief measures on the amount of revenue recognized for the period	Our audit procedures (among others) included the following; • We gained an understanding of the process adopted by the Company to grant, record and account for moratoriums and other relief measures provided to customers • We assessed the reasonableness of judgements applied by management in determining whether moratoriums and other relief measures have resulted in substantial modifications or not, to customer contracts. This included evaluating whether interest income on modified contracts have been recognized in line with its accounting policy for interest income recognition. • We tested the accuracy of underlying spread sheet-based calculations. Our procedures included testing the completeness and accuracy of the data used in such spread sheet-based calculations, by agreeing to source documents and moratorium customer returns.

Other information included in the 2021 Annual Report

Other information consists of the information included in the Company's 2021 Annual Report, other than the financial statements and our auditor's report thereon. Management is responsible for the other information. The Company's 2021 Annual Report is expected to be made available to us after the date of this auditor's report.

Our opinion on the financial statements does- not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with Sri Lanka Accounting Standards, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SLAuSs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SLAuSs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

1. identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
2. Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal controls.

(Contd...5/)

3. Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
4. Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
5. Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with ethical requirements in accordance with the Code of Ethics regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on Other Legal and Regulatory Requirements

As required by section 163 (2) of the Companies Act No. 07 of 2007, we have obtained all the information and explanations that were required for the audit and, as far as appears from our examination, proper accounting records have been kept by the Company.

CA Sri Lanka membership number of the engagement partner responsible for signing this independent auditor's report is 1697.



15 June 2021
Colombo

STATEMENT OF COMPREHENSIVE INCOME

Year ended 31 March 2021

	Notes	2021 Rs.	2020 Rs.
Income	6	1,841,057,823	2,037,875,522
Interest Income	6.1	1,686,328,068	1,838,845,339
Interest Expense	6.2	(654,608,735)	(876,732,041)
Net Interest Income		1,031,719,333	962,113,298
Fee and Commission Income	7.1	129,899,513	185,760,201
Fee and Commission Expense	7.2	(22,341,043)	(13,633,994)
Net Fee and Commission Income		107,558,470	172,126,207
Net Gain/(Loss) from Trading	8	320,000	240,800
Other Operating Income (net)	9	24,510,242	13,029,183
Total Operating Income		1,164,108,045	1,147,509,487
Credit Loss Expense on Financial Assets and Other Losses	10	(108,266,753)	(333,253,807)
Net Operating Income		1,055,841,292	814,255,681
Operating Expenses			
Personnel Costs	11	(273,473,301)	(269,968,327)
Depreciation & Amortization	12	(68,844,612)	(68,916,552)
Other Operating Expenses	13	(190,643,922)	(239,636,409)
Operating Profit before Taxes on Financial Services		522,879,457	235,734,393
Taxes on Financial Services	14	(95,713,451)	(81,785,541)
Profit before Taxation from Operations		427,166,006	153,948,852
Provision for Income Taxation	15.1	(139,975,056)	(50,521,758)
Profit for the Year		287,190,950	103,427,094
Other Comprehensive Income (OCI)			
Items that will not be reclassified to profit or loss			
Actuarial Gains/(Losses) on Defined Benefit Plan	36.1	(2,516,706)	(235,217)
Deferred Tax Effect of above	30	604,010	65,861
		(1,912,696)	(169,356)
Items that will be reclassified to profit or loss			
Surplus from Revaluation of Property, Plant & Equipment		89,459,907	-
Deferred Tax Effect of above	30	(19,056,000)	-
		70,403,907	-
Other Comprehensive Profit/(Loss) for the Year, Net of Tax		68,491,211	(169,356)
Total Comprehensive Income for the Year		355,682,161	103,257,738
Earnings Per Share : Basic / Diluted (Rs.)	16	4.31	1.55

Accounting Policies and Notes from pages 10 to 76 form an integral part of these Financial Statements.



STATEMENT OF FINANCIAL POSITION

As at 31 March 2021

	Notes	2021 Rs.	2020 Rs.
Assets			
Cash and Bank Balances	17	226,092,543	146,941,688
Placement With Banks	18	207,264,972	204,354,154
Repurchase Agreements	19	942,235,676	279,143,141
Loans and Advances	20	1,379,508,592	1,920,095,538
Lease Rentals Receivable & Stock out on Hire	21	6,027,133,949	5,854,327,613
Equity Instruments at Fair Value through OCI	22	80,400	80,400
Debt Instruments at Amortised Cost	23	13,684,192	225,421,143
Other Financial Assets	24	99,842,557	96,487,549
Real Estate Stock	25	31,066,726	39,313,213
Other Non Financial Assets	26	49,289,851	63,953,134
Property, Plant & Equipment	28	146,041,713	70,332,907
Intangible Assets	27	33,866,422	29,339,420
Right-of- use Assets	29	62,490,872	81,250,333
Deferred Tax Assets	30	9,815,140	45,073,647
Total Assets		9,228,413,605	9,056,113,880
Liabilities			
Due to Banks	31	380,234,236	809,672,688
Due to Customers	32	4,918,802,137	5,148,142,044
Other Borrowed Funds	33	1,210,632,535	649,837,356
Other Financial Liabilities	34	535,607,003	720,063,470
Other Non Financial Liabilities	35	15,877,158	23,791,226
Current Tax Liabilities		147,245,448	47,853,948
Retirement Benefit Liability	36	27,014,926	19,435,147
Total Liabilities		7,235,413,443	7,418,795,879
Shareholders' Funds			
Stated Capital	37	1,121,412,955	1,121,412,955
Statutory Reserve Fund	38.2.1	191,107,440	133,669,250
Revaluation Reserve	38.2.2	70,403,907	-
Retained Earnings	38.1	610,075,860	382,235,796
Total Shareholders' Funds		1,993,000,162	1,637,318,001
Total Liabilities and Shareholders' Funds		9,228,413,605	9,056,113,880

These Financial Statements are in compliance with the requirements of the Companies Act No. 07 of 2007.



 B G P Samantha
 Chief Financial Officer

The Board of Directors is responsible for the Financial Statements. Signed for and on behalf of the Board by,


 H C Embuldeniya
 Director


 K J C Perera
 Director

Accounting Policies and Notes from pages 10 to 76 form an integral part of these Financial Statements.



12 June 2021
 Colombo

STATEMENT OF CHANGES IN EQUITY

Year ended 31 March 2021

	Stated Capital Rs.	Statutory Reserve Rs.	Revaluation Reserve Rs.	Retained Earnings Rs.	Total Rs.
Balance as at 31 March 2019	1,121,412,955	112,983,832	-	299,663,476	1,534,060,263
Net Profit for the year	-	-	-	103,427,094	103,427,094
Other Comprehensive Income net of tax	-	-	-	(169,356)	(169,356)
Transfer to Statutory Reserve Fund	-	20,685,418	-	(20,685,418)	-
Balance as at 31 March 2020	1,121,412,955	133,669,250	-	382,235,796	1,637,318,001
Net Profit for the year	-	-	-	287,190,950	287,190,950
Other Comprehensive Income net of tax	-	-	70,403,907	(1,912,696)	68,491,211
Transfer to Statutory Reserve Fund	-	57,438,190	-	(57,438,190)	-
Balance as at 31 March 2021	1,121,412,955	191,107,440	70,403,907	610,075,860	1,993,000,162

Accounting Policies and Notes from pages 10 to 76 form an integral part of these Financial Statements.



STATEMENT OF CASH FLOWS

Year ended 31 March 2021

	Notes	2021 Rs.	2020 Rs.
Cash Flows From / (Used in) Operating Activities			
Profit before Income Tax Expense		427,166,006	153,948,852
Adjustments for			
Depreciation	28.2	18,004,159	21,463,911
Amortization of Intangible Assets	27	7,996,000	4,650,912
Amortization of Right to use assets	29.1	42,844,453	42,801,730
Interest Expense on Borrowings	6.2	141,143,541	
Interest Expense on Lease Liability	6.2	10,692,222	12,871,643
Impairment Provision	10	108,266,753	333,253,807
Loss/(Profit) on Disposal of Property & Equipment	13	(3,545,932)	163,923
Provision/(Reversal) for Defined Benefit Plans	11	6,581,662	5,489,724
Dividend Received		(320,000)	(240,800)
Operating Profit before Working Capital Changes		758,828,865	574,403,702
(Increase)/Decrease in Real Estate Stock		8,246,487	11,480,000
(Increase)/Decrease in Loans and Advances		384,697,689	116,043,630
(Increase)/Decrease in Lease Rentals Receivable & Stock out on hire		(187,101,950)	(664,659,923)
(Increase)/Decrease in Other Financial Assets		(79,215,544)	(103,755,859)
(Increase)/Decrease in Other Non Financial Assets		14,663,283	200,261
Increase/(Decrease) in Amounts Due to Customers		(229,339,907)	(644,824,481)
Increase/(Decrease) in Other Financial Liabilities		(247,764,751)	83,636,057
Increase/(Decrease) in Other Non Financial Liabilities		(7,914,068)	5,049,277
Cash Generated from Operations		415,100,104	(622,427,336)
Interest Expense Paid		(153,204,719)	
Retirement Benefit Liabilities Paid	36	(1,518,589)	(3,760,975)
Taxes Paid		(23,614,622)	(20,730,598)
Net Cash From/(Used in) Operating Activities		236,762,174	(646,918,909)
Cash Flows from / (Used in) Investing Activities			
Acquisition of Property, Plant & Equipment	28	(4,426,125)	(6,969,045)
Acquisition of Intangible Assets	27	(12,523,002)	(1,231,497)
Proceeds from Sales of Property, Plant & Equipment		3,739,000	296,000
Cash Flow from/(Used in) Fixed Deposits		186,490	(5,075,085)
Sale/(Purchase) of Debt Instruments at Amortised Cost		211,736,951	214,384,518
Dividend Received		320,000	240,800
Net Cash Flows from/(Used in) Investing Activities		199,033,315	201,645,692
Cash Flows from / (Used in) Financing Activities			
Cash Inflow from Long Term Bank Borrowings	31.2	-	755,000,000
Cash Outflow from Long Term Bank Borrowings	31.2	(285,799,259)	(603,022,906)
Cash Inflow from Other Borrowings	33.2	1,241,191,784	536,984,138
Cash outflow from Other Borrowings	33.2	(655,866,821)	(307,740,627)
Payment of Capital portion of Lease Liabilities	29.2	(50,246,244)	(47,377,116)
Net Cash Flows from/(Used in) Financing Activities		249,279,459	333,843,489
Net Increase in Cash and Cash Equivalents		685,074,948	(111,429,728)
Cash and Cash Equivalents at the beginning of the year		540,071,245	651,500,973
Cash and Cash Equivalents at the end of the year		1,225,146,193	540,071,245

Accounting Policies and Notes from pages 10 to 76 form an integral part of these Financial Statements.



1. CORPORATE INFORMATION

1.1 General

Abans Finance PLC is domiciled, public limited liability company incorporated in Sri Lanka on 08 April 2005 under the Companies Act No. 17 of 1982, The Company was reregistered under the Companies Act No.7 of 2007 on 15 June 2009. It is a Licensed Finance Company registered under the Finance Business Act No.42 of 2011. The Company was listed on the Colombo Stock Exchange in 2011.

The registered office of the Company is located at No. 498, Galle Road, Colombo 03 and the principal place of business is situated at No. 456, R.A. De Mel Mawatha, Colombo 03.

1.2 Principal Activities and Nature of Operations

The Company provides a comprehensive range of financial services encompassing Acceptance of Fixed Deposits, Maintenance of saving Deposits, Providing Finance Leases, Hire Purchase, Mortgage Loans, Personal Loans and Other Credit Facilities.

1.3 Parent Enterprise and Ultimate Parent Enterprise

The Company's parent company is Abans PLC and the ultimate parent company is Abans International (Pvt) Limited which are incorporated in Sri Lanka

1.4 Approval of Financial Statements by Directors

The Financial Statements of Abans Finance PLC for the year ended 31 March 2021 was authorized for issue in accordance with a resolution of the Board of Directors on 12 June 2021.

1.5 Directors' Responsibility Statement

The Board of Directors is responsible for the preparation and presentation of these Financial Statements as per the provisions of the Companies Act No.07 of 2007 and the Sri Lanka Accounting Standards comprising LKASs and SLFRSs (hereafter "SLFRS").



2. BASIS OF PREPARATION

2.1 Statement of Compliance

The Financial Statements of the Company (Statement of Financial Position and Statement of Comprehensive Income, Statement of Changes in Equity, Statement of Cash Flows together with Accounting Policies and Notes) as at 31 March 2020 are prepared in accordance with Sri Lanka Accounting Standards comprising of SLFRSs and LKASs (hereafter referred as SLFRSs), as laid down by the Institute of Chartered Accountants of Sri Lanka (CA Sri Lanka) and in compliance with the requirements of the Companies Act No. 07 of 2007. The presentation of these Financial Statements is also in compliance with the requirements of Finance Business Act No 42 of 2011, Listing Rules of the Colombo Stock Exchange and the CBSL guidelines.

2.2 Basis of Measurement

The Financial Statements of the Company have been prepared on a historical cost basis, except for the following items in the Statement of Financial Position.

- Financial Assets at fair value through other comprehensive income (applicable from 1 January 2018) at fair value (Note 22)
- Liabilities for defined benefit obligations are recognized at the present value of the defined benefit obligation less the fair value of the plan assets (Note 36)

2.3 Functional and Presentation Currency

The Financial Statements of the Company are presented in Sri Lankan Rupees (Rs.), which is the currency of the primary economic environment in which Abans Finance PLC operates. The Financial information presented in Sri Lankan Rupees has been rounded to the nearest Rupee except where otherwise indicated as permitted by the Sri Lanka Accounting Standard LKAS 01 on "Presentation of Financial Statements". There was no change in the Company's presentation and functional currency during the year under review.

2.4 Presentation of Financial Statements

The assets and liabilities of the Company presented in the Statement of Financial Position are grouped by nature and listed in an order that reflects their relative liquidity and maturity pattern. No adjustments have been made for inflationary factors affecting the Financial Statements. An analysis on recovery or settlement within 12 months after the reporting date (current) and more than 12 months after the reporting date (noncurrent) is presented in Note 42.

2.5 Materiality and Aggregation

In compliance with LKAS 01 on Presentation of Financial Statements, each material class of similar items is presented separately in the Financial Statements. Items of dissimilar nature or functions too are presented separately, if they are material.

Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial position only when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liability simultaneously. Income and expenses are not offset in the Income Statement unless required or permitted by any accounting standard or interpretation, and as specifically disclosed in the accounting policies.



2.6 Comparative Information

The comparative information is re-classified whenever necessary to conform to the current year's presentation.

However, the comparative information has not been restated due to adoption of SLFRS16, as explained in Note 3. except "commitments & contingencies" the details of which are given in Note 43 to the Financial Statements.

2.7 Statement of Cash Flow

The cash flow statement has been prepared by using the indirect method in accordance with the Sri Lanka Accounting Standard - LKAS 7 (Statement of Cash Flows), whereby operating, investing and financial activities have been separately recognised. Cash and cash equivalents comprise of short term, highly liquid investments that are readily convertible to known amounts of cash and are subject to an insignificant risk of changes in value.

Cash and cash equivalents include cash in hand, balances with banks, placements with banks (less than 3 months), net of unfavourable bank balances and securities purchased under repurchase agreement (less than three months).

2.8 Events After the Reporting Date

Events after the reporting period are those events, favourable and unfavourable, that occur between the reporting date and the date when the Financial Statements are authorised for issue.

No circumstances have arisen since the reporting date, which would require adjustments to, or disclosure in the financial statements, other than those disclosed in Note 46 to the Financial Statements.

2.9 Significant Accounting Judgements, Estimates And Assumptions

The preparation of Financial Statements requires the application of certain critical accounting and assumptions relative to the future. Further, it requires management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the disclosure of contingent liabilities, at the end of the reporting period. However, uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability affected in future periods.

a) Estimates and Assumptions

The key assumptions concerning the future and other key sources of estimation at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The Company based these assumptions and estimates on parameters available at the time Financial Statements were prepared. Existing circumstances and assumptions about future developments, these may change due to market changes or circumstances arising beyond the control of the Company. Such changes are taken in to consideration in the assumptions when they occur.

I. Going Concern

The Directors have made an assessment of the company's ability to continue as a going concern and are satisfied that it has the resources to continue in business for the foreseeable future. Furthermore, board is not aware of any material uncertainties that may cast significant doubt upon the company's ability to continue as a going concern and they do not intend either to liquidate or to cease operations of the company. Therefore, the Financial Statements continue to be prepared on the going concern basis. The Directors have considered the potential downsides that the COVID – 19 – pandemic could bring to business operations of the Company, in making this assessment.

II. Defined Benefit Plans

The cost of defined benefit pension plan is determined using actuarial valuations. An actuarial valuation involves making various assumptions which may differ from actual developments in the future. These include the determination of the discount rate, future salary increases, mortality rates and future pension increases. Due to the complexity of the valuation, the underlying assumptions and their long term nature, a defined benefit obligation is highly sensitive to changes in these assumptions. All assumptions are reviewed at each reporting date as disclosed in Note 36.

In determining the appropriate discount rate, management considers the interest rates of Sri Lanka Government Bonds with extrapolated maturities corresponding to the expected duration of the defined benefit obligation. The mortality rate is based on publicly available mortality tables. Future salary increases are based on expected future inflation rates and expected future salary increase rate of the Company. The sensitivity of assumptions used in actuarial valuations are set out in Note 36.5 to the Financial Statements.

III. Impairment losses on Loans and Advances (Finance Leases, Hire Purchases, Mortgage Loans, Revolving Loans and Business/Personal Loans)

The measurement of impairment losses under SLFRS 9 across all categories of financial assets requires judgment, in particular, the estimation of the amount and timing of future cash flows and collateral values when determining impairment losses and the assessment of a significant increase in credit risk. These estimates driven by a number of factors, changes which can result in different levels of allowances.

Accordingly, the Company reviews its individually significant loans and advances at each financial reporting date to assess whether an impairment loss should be recorded in the income statement. In particular, management's judgment was required in the estimation of the amount and timing of future cash flows when determining the impairment loss. These estimates were based on assumptions about a number of factors and actual results may differ, resulting in future changes to the allowance.

Loans and advances that have been assessed individually and found not to be impaired and all individually insignificant loans and advances are then assessed collectively, in groups of assets with similar risk characteristics.

As per SLFRS 09, the Company's expected credit loss (ECL) calculations are output of complex models with a number of underlying assumptions regarding the choice of variable inputs and their independencies. The elements of the ECL models that are considered accounting judgements and estimates include.

- The Company's criteria for assessing if there has been a significant increase in credit risk and so allowances for financial assets should be measured on a lifetime expected credit loss (LTECL) basis and the qualitative assessment
- The segmentation of financial assets when their fair values when their ECL is assessed on a collective basis.
- Development of ECLs, models, including the various formulas and the choice of inputs
Determination of associations between macroeconomic scenarios and, economic inputs, such as unemployment levels and collateral values, and the effect on probability of default (PDs), Exposure at default (EADs) and loss given default (LGDs).
- Selection of forward –looking macroeconomic scenarios and their probability weightings, to derive the economic inputs into the ECL models.

It is the Company's policy to regularly review its models in the context of actual loss experience and adjust whenever necessary.

Impact of COVID-19 on the provision for impairment on loans and advances.

The COVID-19 pandemic, together with measures implemented to contain the virus, has had a profound impact on the Sri Lankan and global economy, driving heightened levels of market uncertainty and a significant deterioration, or expected deterioration, in macroeconomic conditions, notably unemployment, and gross domestic product (GDP). This, in turn, has resulted in a significant impact on the provision for impairment on financial assets, as forecast macroeconomic conditions are a key factor in determining the expected credit loss (ECL) for loans and advances.

In response to COVID-19 and the Company's expectations of economic impacts, the key assumptions used in the Company's calculation of ECL have been revised. The economic scenarios and forward - looking macroeconomic assumptions underpinning the collective provision calculation are outlined in Note 4.1.10. At reporting date, the impacts of COVID-19 have been captured via the modelled outcome as well as a separate management overlay reflecting the considerable uncertainty remaining in the modelled outcome given the unprecedented impacts of COVID-19. Although the credit model inputs and assumptions, including forward-looking macroeconomic assumptions, were revised in response to the COVID-19 pandemic, the fundamental credit model mechanics and methodology underpinning the Company's calculation of ECL have remained consistent with prior periods.

IV. Fair Value of Financial Instruments

The determination of fair value of financial assets and financial liabilities recorded on the Statement of Financial Position for which there is no observable market price are determined using a variety of valuation techniques that include the use of mathematical models. The valuation of financial instrument is described in Note 40 to the Financial Statements. The Company measures fair value using the fair value hierarchy that reflects the significance of input used in making measurements. The fair value hierarchy is also given in Note 40.1 to the Financial Statements.

V. Financial Assets and Financial Liabilities Classification

The Company's accounting policies provide scope for assets and liabilities to be classified, at inception in to different accounting categories. The classification of financial instrument is given in Note 39 "Analysis of Financial Instruments by Measurement Basis".

VI. Useful life of Property, Plant and Equipment and Intangible Assets

The Company reviews the assets' residual values, useful lives and methods of depreciation and amortization of Property, Plant, Equipment and Intangible Assets at each reporting date. Judgment by the management is exercised in the estimation of these values, rates, methods and hence they are subject to uncertainty.

VII. Taxation

The Company is subject to income tax and judgment is required to determine the total provision for current, deferred and other taxes due to the uncertainties that exist with respect to the interpretation of the applicable tax laws, at the time of preparation of these Financial Statements.

The Company has adopted the requirements of the New Inland Revenue Act 24 of 2017 which was effective from 1 April 2018 and deferred tax assets are recognised in respect of tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilised. Judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with future tax-planning strategies.

Further, deferred tax assets are recognised in respect of tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilised. Judgment is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and level of future taxable profits, together with future tax-planning strategies.



VIII. Provisions, Commitments and Contingencies

All discernible risks are accounted for in determining the amount of all known liabilities.

Contingent liabilities are possible obligations whose existence will be confirmed only by uncertain future events or present obligations where the transfer of economic benefit is not probable or cannot be reliably measured. Contingent liabilities are not recognised in the Statement of Financial Position but are disclosed unless they are remote. Refer Note 43 for more details on Commitments and Contingencies.

3. CHANGES IN ACCOUNTING POLICIES AND DISCLOSURES**3.1 Revaluation of Free Hold Land (Property, Plant and Equipment)**

The Company's accounting policy was to measure Free Hold Land under the cost model in LKAS 16 Property, Plant and Equipment (LKAS 16) whereby, after initial recognition, free hold land was carried at its historical cost less accumulated impairment losses, if any.

In the period ended 31 March 2021, the Company changed its accounting policy to measure the Company's free hold land from a cost model to one of regular revaluation, where free hold land is measured at fair value less accumulated impairment losses recognized after the date of revaluation ("revaluation model"), in accordance with LKAS 16. The Company determined that the land constitute separate class of property, plant and equipment, based on their nature, characteristics and risks.

The Company believes that a revaluation model provides more relevant information to the users of its financial statements as it is aligned to accounting practices adopted by its parent. In addition, available valuation techniques provide reliable estimates of the free hold land fair value.

LKAS 8.17 and LKASS 8.18 exempt this change in accounting policy from the requirement to retrospectively apply the accounting policy. Hence, the Company has applied its change in accounting policy for the measurement of Free hold land to the revaluation model, prospectively. Therefore, free hold land has been measured at fair value as at 31 March 2021.

Financial statement line items affected are provided in Note 28.7 & Note 30

4. GENERAL ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to all periods presented in these Financial Statements except for the changes mentioned in Note 3 to the Financial Statements.

4.1 Financial Instruments-Initial Recognition, Classification and Subsequent Measurement**4.1.1 Date of Recognition**

All financial assets and liabilities are initially recognised on the trade date, i.e. the date that the Company becomes a party to the contractual provisions of the instrument. This includes "regular way trades". Regular way trade means purchases or sales of financial assets within the time frame generally established by regulation or convention in the marketplace.

4.1.2 Initial measurement of Financial Instruments

The classification of financial instruments at initial recognition depends on their contractual terms and the business model for managing the instruments. Financial instruments are initially measured at their fair value, except in the case of financial assets and financial liabilities recorded at fair value through profit or loss (FVPL), transaction costs are added to, or subtracted from, this amount. When the fair value of financial instruments at initial recognition differs from the transaction price, the Company accounts for "Day 1 profit or loss", as described below.

4.1.3 'Day 1' profit or loss

When the transaction price differs from the fair value of other observable current market transactions in the same instrument, or based on a valuation technique whose variables include only data from observable markets, the Company recognises the difference between the transaction price and fair value (a 'Day 1' profit or loss) in the Income Statement over the tenor of the financial instrument using effective interest rate method. In cases where fair value is determined using data which is not observable, the difference between the transaction price and model value is only recognised in the Income Statement when the inputs become observable, or when the instrument is derecognised.

4.1.4 Measurement categories of Financial Assets and Financial Liabilities

As per SLFRS 9, the Company classifies all its financial assets based on the business model for managing the assets and the assets' contractual terms measured at either; On initial recognition, a financial asset is classified as measured at,

- Amortised Cost,
- Fair Value Through Other Comprehensive Income (FVOCI) or
- Fair value Through Profit or Loss. (FVPL)

The subsequent measurement of financial assets depends on their classification.

Financial liabilities are measured at amortised cost or at FVTPL when they are held for trading and derivative instruments or the fair value designation is applied.

4.1.4 (a) (i).Financial Assets at Amortised cost :

The Company only measures loans, receivables, and other financial investments, at amortised cost if both of the following conditions are met:

- The financial asset is held within a business model with the objective to hold financial assets in order to collect contractual cash flows
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI) on the principal amount outstanding.

Financial Assets consist of cash and bank balances, securities purchased under repurchase agreements, placement with banks, lease rentals receivable & stock out on hire, loan receivables, and other financial assets.

The details of the above conditions are outlined below.

Business model assessment

The Company determines its business model at the level that best reflect how it manages groups of financial assets to achieve its business objective.

The Company's business model is not assessed on an instrument-by-instrument basis, but at a higher level of aggregated portfolios and is based on observable factors such as:

- How the performance of the business model and the financial assets held within that business model are evaluated and reported to the entity's Key Management Personnel
- The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way those risks are managed
- How managers of the business are compensated (for example, whether the compensation is based on the fair values of the assets managed or on the contractual cash flows collected)
- The expected frequency, value and timing of sales are also important aspects of the Company's assessment



The business model assessment is based on reasonably expected scenarios without taking “worst case” or “stress case” scenarios into account. If cash flows after initial recognition are realised in a way that is different from the Company’s original expectations, the Company does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

The Solely Payments of Principal and Interest (SPPI) test

As a second step of its classification process, the Company assesses the contractual terms of financial to identify whether they meet the SPPI test.

‘Principal’ for the purpose of this test is defined as the fair value of the financial asset at initial recognition and may change over the life of the financial asset (for example, if there are repayments of principal or amortisation of the premium/discount).

The most significant elements of interest within a lending arrangement are typically the consideration for the time value of money and credit risk. To make the SPPI assessment, the Company applies judgement and considers relevant factors such as the currency in which the financial asset is denominated, and the period for which the interest rate is set.

In contrast, contractual terms of that introduce a more than de minimis exposure to risks or volatility in the contractual cash flows that are unrelated to a basic lending arrangement do not give rise to contractual cash flows that are solely payments of principal and interest on the amount outstanding. In such cases, the financial asset is required to be measured at FVPL.

4.1.4 (a) (ii) Equity instruments at FVOCI

Upon initial recognition, the Company occasionally elects to classify irrevocably some of its equity investments as equity instruments at FVOCI when they meet the definition of Equity under LKAS 32 Financial Instruments: Presentation and are not held for trading. Such classification is determined on an instrument-by instrument basis.

Gains and losses on these equity instruments are never recycled to profit. Dividends are recognised in profit or loss as other operating income when the right of the payment has been established, except when the Company benefits from such proceeds as a recovery of part of the cost of the instrument, in which case, such gains are recorded in OCI. Equity instruments at FVOCI are not subject to an impairment assessment.

Currently, the Company has recorded its non-quoted equity investments FVOCI at cost less ECL if any. The details of equity instruments at FVOCI are given in Note 22 to the Financial Statements.

4.1.4 (a) (iii) Debt issued and other borrowed funds

After initial measurement, debt issued and other borrowed funds are subsequently measured at amortised cost. Amortised cost is calculated by taking into account any discount or premium on issue funds, and costs that are an integral part of the EIR. The company does not have compound financial instruments which contains both a liability and an equity component and require separation as at the date of the issue.

Currently, the Company has recorded Debt issued and other borrowed funds as Financial Liabilities at Amortised Cost in the form of term loans, short term loans, debentures.

4.1.5 Cash and Bank balances

Cash and bank balances comprise cash in hand, balances with banks, loans at call and at short notice that are subject to an insignificant risk of changes in their fair value and are used by the Company in the management of its short-term commitments. Details of cash and bank balances are given in Note 17 to Financial Statements.



4.1.6 Classification and Subsequent Measurement of Financial Liabilities

Financial liabilities, other than loan commitments and financial guarantees, are classified as,

- (i) Financial liabilities at Fair Value through Profit or Loss (FVTPL)
 - a) Financial liabilities held for trading
 - b) Financial liabilities designated at fair value through profit or loss
- (ii) Financial liabilities at amortised cost, when they are held for trading and derivative instruments or the fair value designation is applied.

The subsequent measurement of financial liabilities depends on their classification.

i. Financial Liabilities at Fair Value Through Profit or Loss (FVTPL)

Financial Liabilities at FVTPL include financial liabilities held for trading and financial liabilities designated upon initial recognition at fair value through profit or loss. Subsequent to initial recognition, financial liabilities at FVTPL are fair value, and changes therein recognized in Income Statement. No such liabilities as at the reporting date.

ii. Financial Liabilities at Amortised Cost

Financial liabilities issued by the Company that are not designated at FVTPL are classified as financial liabilities at amortised cost under “Due to banks”, “Due to customers” and “Other borrowed fund, where the substance of the contractual arrangement results in the Company having an obligation either to deliver cash or another financial asset to the holder.

After initial measurement, financial liabilities are subsequently measured at amortised cost. Amortised cost is calculated by taking into account any discount or premium on issue funds, and costs that are an integral part of the EIR. The Company classifies capital instruments as financial liabilities or equity instruments in accordance with the substance of the contractual terms of the instrument

Currently, the Company has recorded Due to Banks & Other borrowed funds as Financial Liabilities at Amortised Cost in the form of term loans, short term loans and securitizations.

4.1.7 Reclassifications of Financial assets and Financial Liabilities

The Company does not reclassify its financial assets subsequent to their initial recognition, apart from the exceptional circumstances in which the Company acquires, disposes of, or terminates a business line. Financial liabilities are never reclassified. The Company did not reclassify any of its financial assets or liabilities during the financial year.

4.1.8 Derecognition of Financial Assets and Financial Liabilities**4.1.8 (a) Derecognition due to substantial modification of terms and conditions**

The Company derecognises a financial asset, such as a loan to a customer, when the terms and conditions have been renegotiated to the extent that, substantially, it becomes a new loan, with the difference recognised as a derecognition gain or loss, to the extent that an impairment loss has not already been recorded. The newly recognised loans are classified as Stage 1 for ECL measurement purposes, unless the new loan is deemed to be credit impaired at the date of inception.

When assessing whether or not to derecognise a loan to a customer, amongst others, the Company considers the following factors:

- Introduction of an equity feature
- Change in counterparty
- If the modification is such that the instrument would no longer meet the SPPI criterion.

If the modification does not result in cash flows that are substantially different, the modification does not result in derecognition. Based on the change in cash flows discounted at the original EIR, the Company records a modification gain or loss, to the extent that an impairment loss has not already been recorded.

As explained in Note 4.1.10 (iv), modifications to the original terms and conditions of the loans due to COVID-19 moratorium did not result in a derecognition of the original loans as the Company concluded that the modifications were not substantial. Accordingly, a modification loss has been recognised during the year ended 31 March 2021 under net interest income in Note 6.1, representing the difference between the original carrying value of the loan (before modification) and the discounted present value of the revised cash flows (at the Original EIR) at the date of the loan modification.

4.1.8 (b) Derecognition other than for substantial modification

4.1.8 (b) (i) Derecognition of Financial Assets

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is derecognised when the rights to receive cash flows from the financial asset have expired. The Company also derecognises the financial asset if it has both transferred the financial asset and the transfer qualifies for derecognition.

The Company has transferred the financial asset, if and only if, either:

- The Company has transferred its contractual rights to receive cash flows from the financial asset
- Or
- It retains the rights to cash flows, but has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement.

Pass-through arrangements are transactions whereby the Company retains the contractual rights to receive the cash flows of a financial asset (the 'original asset'), but assumes a contractual obligation to pay those cash flows to one or more entities (the 'eventual recipients'), when all of the following three conditions are met:

- The Company has no obligation to pay amounts to the eventual recipients unless it has collected equivalent amounts from the original asset, excluding short-term advances with the right to full recovery of the amount lent plus accrued interest at market rates.
- The Company cannot sell or pledge the original asset other than as security to the eventual recipients
- The Company has to remit any cash flows it collects on behalf of the eventual recipients without material delay. In addition, the Company is not entitled to reinvest such cash flows, except for investments in cash or cash equivalents including interest earned, during the period between the collection date and the date of required remittance to the eventual recipients.

A transfer only qualifies for derecognition if either:

- The Company has transferred substantially all the risks and rewards of the asset
- Or
- The Company has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset

The Company considers control to be transferred if and only if, the transferee has the practical ability to sell the asset in its entirety to an unrelated third party and is able to exercise that ability unilaterally and without imposing additional restrictions on the transfer.

On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset derecognised) and the sum of the consideration received (including any new asset obtained less any new liability assumed) and any cumulative gain or loss that had been recognised in other comprehensive income is recognised in profit or loss.

When the Company has neither transferred nor retained substantially all the risks and rewards and has retained control of the asset, the asset continues to be recognised only to the extent of the Company's continuing involvement, in which case, the Company also recognises as associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Company has retained.

Continuing involvement that takes the form of a guarantee over the transferred asset is measured at the lower of the original carrying amount of the asset and the maximum amount of consideration the Company could be required to pay.

If continuing involvement takes the form of a written or purchased option (or both) on the transferred asset, the continuing involvement is measured at the value the Company would be required to pay upon repurchase. In the case of a written put option on an asset that is measured at fair value, the extent of the entity's continuing involvement is limited to the lower of the fair value of the transferred asset and the option exercise price.

4.1.8 (b) (ii) Derecognition - Financial Liabilities

A financial liability is derecognised when the obligation under the liability is discharged or cancelled or expires.

Where an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability. The difference between the carrying value of the original financial liability and the consideration paid is recognised in profit or loss.

4.1.9 Determination of Fair Value

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability

The principal or the most advantageous market must be accessible by the Company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

- Level 1 — Quoted (unadjusted) market prices in active markets for identical assets or liabilities
- Level 2 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable
- Level 3 — Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable

For assets and liabilities that are recognised in the financial statements on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorisation (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

The disclosure of fair value of financial instruments is disclosed in Note 39 to the Financial Statements.

4.1.10 Impairment of Financial Assets

4.1.10 (i) a. Overview of the expected credit loss (ECL) principles

The Company recognises expected credit losses for all loans and other debt financial assets not held at FVTPL, together with loan commitments and financial guarantee contracts. Equity instruments are not subject to impairment under SLFRS 9.

The ECL allowance is based on the credit losses expected to arise over the life of the asset (the lifetime expected credit loss or LTECL), unless there has been no significant increase in credit risk since origination, in which case, the allowance is based on the 12 months' expected credit loss (12mECL). The Company's policies for determining if there has been a significant increase in credit risk are set out in Note 41.4.1 (b)

The 12mECL is the portion of LTECLs that represent the ECLs that result from default events on a financial instrument that are possible within the 12 months after the reporting date.

Both LTECLs and 12mECLs are calculated on either an individual basis or collective basis, depending on the nature of the underlying portfolio of financial instruments.

The Company established a policy to perform an assessment, at the end of each reporting period, of whether a financial instrument's credit risk has increased significantly since initial recognition, by considering the change in the risk of default occurring over the remaining life of the financial instrument.

Based on the above process, the Company groups its loans into Stage 1, Stage 2, Stage 3 and POCI, as described below.

Stage 1: When loans are first recognised, the Company recognises an allowance based on 12mECLs. Stage 1 loans also include facilities where the credit risk has improved and the loan has been reclassified from Stage 2.

Stage 2: When a loan has shown a significant increase in credit risk since origination, the Company records an allowance for the LTECLs. Stage 2 loans also include facilities, where the credit risk has improved and the loan has been reclassified from Stage 3.

Stage 3: Loans considered credit-impaired. The Company records an allowance for the LTECLs.

POCI: Purchased or originated credit impaired (POCI) assets are financial assets that are credit impaired on initial recognition. POCI assets are recorded at fair value at original recognition and interest income is subsequently recognised based on a credit-adjusted EIR. ECLs are only recognised or released to the extent that there is a subsequent change in the expected credit losses.

For financial assets for which the Company has no reasonable expectations of recovering either the entire outstanding amount, or a proportion thereof, the gross carrying amount of the financial asset is reduced. This is considered a (partial) derecognition of the financial asset.

b. The Calculation of Expected Credit Loss (ECL)

The Company calculates ECLs based on a four probability-weighted scenarios to measure the expected cash shortfalls, discounted at an approximation to the EIR. A cash shortfall is the difference between the cash flows that are due to an entity in accordance with the contract and the cash flows that the entity expects to receive.

The mechanics of the ECL calculations are outlined below and the key elements are, as follows.

PD : The probability of Default is an estimate of the likelihood of default over a given time horizon. A default may only happen at a certain time over the assessed period, if the facility has not been previously derecognised and is still in the portfolio.

EAD: The Exposure at Default is an estimate of the exposure at a future default date, taking into account expected changes in the exposure after the reporting date, including repayments of principal and interest, whether scheduled by contract or otherwise, expected draw downs on committed facilities, and accrued interest from missed payments.

LGD: The Loss Given Default is an estimate of the loss arising in the case where a default occurs at a given time. It is based on the difference between the contractual cash flows due and those that the lender would expect to receive, including from the realisation of any collateral. It is usually expressed as a percentage of the EAD.

The mechanism of the ECL method are summarised below.

Stage 1: The 12mECL is calculated as the portion of LTECLs that represent the ECLs that represent the ECLs that result from default events on a financial instrument that are possible within the 12 months after the reporting date. The Company calculates the 12mECL allowance based on the expectation of a default occurring in the 12 months following the reporting date. These expected 12-month default probabilities are applied to a forecast EAD and multiplied by the expected LGD and discounted by an approximation of the original EIR.

Stage2: When a loan has shown a significant increase in credit risk since origination, the Company records an allowance for the LTECLs. The mechanics are similar to those explained above, including the use of multiple scenarios, but PDs and LGDs are estimated over the lifetime of the instrument. The expected cash shortfalls are discounted by an approximation to the original EIR.

Stage 3: For loans considered credit-impaired, the Company recognises the lifetime expected credit losses for these loans. The method is similar to that for Stage 2 assets, with the PD set at 100%.

c. Forward looking information

In its ECL models, the Company relies on a broad range of forward looking information as economic inputs, such as:

- GDP growth
- Unemployment rate
- Central Bank base rates
- Inflation

The inputs and models used for calculating ECLs may not always capture all characteristics of the market at the date of the Financial Statements. To reflect this, qualitative adjustments or overlays are occasionally made as temporary adjustments when such differences are significantly material.

4.1.10 (ii) Reversals of impairment

If the amount of an impairment loss decreases in a subsequent period, and the decrease can be related objectively to an event occurring after the impairment was recognised, the excess is written back by reducing the loan impairment allowance account accordingly. The write-back is recognised in the income statement.

4.1.10 (iii) Renegotiated Loans

The Company makes concessions or modifications to the original terms of loans as a response to the borrower's financial difficulties, rather than taking possession or to otherwise enforce collection of collateral. The Company considers a loan renegotiated when such concessions or modifications are provided as a result of the borrower's present or expected financial difficulties and the Company would not have agreed to them if the borrower had been financially healthy. Indicators of financial difficulties include defaults on covenants, or significant concerns raised by the Credit Risk Department. Renegotiated loans may involve extending the payment arrangements and the agreement of new loan conditions. Once the terms have been renegotiated, any impairment is measured using the original EIR as calculated before the modification of the terms. It is the Company's policy to monitor renegotiated loans to help ensure that future payments continue to be likely to occur. Derecognition decisions and classification between Stage 2 and Stage 3 are determined on a case-by-case basis. If these procedures identify a loss in relation to a loan, it is disclosed and managed as an impaired Stage 3 renegotiated asset until it collected or written off.

4.1.10 ((iv) Relief Measures to assist COVID-19 affected businesses and individuals by the Central Bank of Sri Lanka (CBSL)

The COVID-19 pandemic has significantly impacted the local economy as the government had to impose travel bans and lockdowns on millions of people. Many people in many locations are still subjected to quarantine measures. Businesses are dealing with lost revenue and disrupted supply chains. As a result of the disruption to businesses, some people lost their jobs and many businesses have been adversely affected. The Central Bank of Sri Lanka has provided financial assistance to disrupted industry sectors and the affected businesses /individuals in the form of a debt moratorium through licensed banks/financial institutions in the country.

As per the Circular No. 4 of 2020 and the subsequent communication issued by the CBSL in this regard, finance companies were required to charge interest at a reduced rate of 11.5% per annum during the moratorium period .

However, the Company concluded that the COVID-19 moratorium did not give rise to a substantial modification to the original terms and conditions of the moratorium eligible loans. Accordingly, the Company continued to recognise the moratorium eligible loans at the original EIR of the loans while recognise a modification loss by discounting the revised cashflows of the loan at the original EIR.

Total modification loss recognise during the year ended 31 March 2021 on account of COVID-19 moratorium eligible loans amounted to Rs. 73,994,535 Mn. All loans eligible for the COVID-19 moratorium (first wave) completed the moratorium period on or before 30th September 2020. The total modification loss has been recognised under interest income in Note 6.1 to the financial statements.

4.1.10 (iv) Write-off of Financial Assets at Amortised Cost

Financial Assets (and the related impairment allowance accounts) are normally written off, either partially or in full, when there is no realistic prospect of recovery. Where financial assets are secured, this is generally after receipt of any proceeds from the realisation of security.

4.1.10 (v) Collateral Valuation

The Company seeks to use collateral, where possible, to mitigate its risks on financial assets. The collateral comes in various forms such as cash, gold, securities, letter of credit/guarantees, real estate, receivables, inventories, other non-financial assets and credit enhancements such as netting arrangements. The fair value of collateral is generally assessed, at a minimum, at inception and based on the guidelines issued by the Central Bank of Sri Lanka.

To the extent possible, the Company uses active market data for valuing financial assets, held as collateral.

Other financial assets which do not have readily determinable market value are valued using models.

Nonfinancial collateral, such as real estate, is valued based on data provided by third parties such as independent valuers, Audited Financial Statements and other independent sources.

4.1.10 (vi). Collateral repossessed

The Company's policy is to determine whether a repossessed asset can be best used for its internal operations or should be sold. Assets determined to be useful for the internal operations will be transferred to their relevant asset category at the lower of their repossessed value or the carrying value of the original secured asset.

4.1.10 (vii). Offsetting Financial Assets and Liabilities

Financial assets and financial liabilities are offset and the net amount reported in the Statement of Financial Position if, and only if, there is a currently enforceable legal right to offset the recognised amounts and there is an intention to settle on a net basis, or to realise the asset and settle the liability simultaneously. This is not generally the case with master netting agreements, therefore, the related assets and liabilities are presented gross in the Statement of Financial Position.

Income and expenses are presented on a net basis only when permitted under LKAS/ SLFRS, or for gains and losses arising from a group of similar transactions such as in the group's trading activity.

4.1.11 Other Financial Assets

Other Financial Assets includes the Other Receivables and Refundable Deposits. Refundable Deposits are initially recorded at Fair value and subsequently measured and amortized cost.

4.1.12 Other Financial Liabilities

Other Financial liabilities including Due to Customer (Deposits), Due to Banks, Other borrowed funds are initially measured at fair value less transaction cost that are directly attributable to the acquisition and subsequently measured at amortised cost using the Effective Interest Rate method.

Amortised cost is calculated by taking in to account any discount or premium on the issue and costs that are an integral part of the Effective Interest Rate.

4.1.13 Borrowings

Borrowings obtained by the Company that are not designated at fair value through profit or loss, are classified as liabilities under 'Borrowings', where the substance of the contractual arrangement results in the Company having an obligation either to deliver cash or another financial asset to the holder, or to satisfy the obligation other than by the exchange of a fixed amount of cash or another financial asset for a fixed number of own equity instruments.

After initial measurement, borrowings are subsequently measured at amortised cost using the Effective Interest Rate. Amortised cost is calculated by taking into account any discount or premium on the issue and costs that are an integral part of the Effective Interest Rate.

4.2 Leases

4.2.1 Identification of a Lease

The Company assesses at the inception of a contract, whether a contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration as per the guidelines of SLFRS 16. This assessment considers whether, throughout the period of use, the lessee has both the right to obtain all of the economic benefits from the use of the identified asset and the right to direct how and for what purpose the identified asset is used. After the assessment of whether a contract is, or contains, a lease, the Company determines whether it contains additional lease or non-lease (service) components based on the detailed guidance provided in SLFRS 16. Accordingly, the right to use of an identifying asset is a separate lease component if the lessee can benefit from the use of underlying asset either on its own or together with other resources readily available to the lessee and the underlying asset is neither highly dependent on, nor highly interrelated with, the other underlying assets in the contract.

4.2.1.1 Company as a lessee

As per SLFRS 16, when the Company has determined that a contract contains a lease component and one or more additional lease components or non-lease components, the consideration in the contract is allocated to each lease component on the basis of relative stand-alone price of the lease component and the aggregate stand-alone price of the non-lease components. At the commencement date, the Company recognises right-of-use of an asset and a lease liability which is measured at the present value of the lease payments that are payable on that date. Lease payments are discounted using the Incremental Borrowing Rate..

Right-of-use assets

The Company recognises right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). The Right-of-use assets are initially measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received.

The right of use asset is subsequently depreciated using straight line method from the commencement date to the earlier of the end of the useful life of the right of use asset or the end of the lease term.

Details of “Right-of-use asset” are given in Notes 29.1

Lease liabilities

At the commencement date of the lease, the Company recognises lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (less any lease incentives receivable), variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Company and payments of penalties for terminating the lease, if the lease term reflects exercising the option to terminate. Variable lease payments that do not depend on an index or a rate are recognised as expenses in the period in which the event or condition that triggers the payment occurs.

Details of “Lease liability” are given in Notes 29.2

4.2.1.2 Company as a lessor

Similar to above, at the commencement of the contract, the Company determines whether the contract contains a lease component and one or more additional lease components or non-lease components. When there is one or more additional lease or nonlease component, the Company allocates consideration based on the guidelines given in SLFRS 15.

However SLFRS 16 largely retains the lessor accounting requirements in LKAS 17 and classification of leases is based on the extent to which risks and rewards incidental to ownership of leased asset lie with the lessor or lessee.

4.2.1.2.1 Finance leases – Company as a lessor

As per SLFRS 16, a lease which transfers substantially all the risks and rewards incidental to ownership of an underlying asset is classified as a finance lease. At the commencement date, the Company recognises assets held under finance lease in the SOFP and present them as a lease receivable at an amount equal to the net investment in the lease. Net investment in the lease is arrived by discounting lease payments receivable at the interest rate implicit in the lease, i.e. the rate which causes present value of lease payments to equal to the fair value of the underlying asset and initial direct costs. The finance income receivable is recognised in “interest income” over the periods of the leases so as to achieve a constant rate of return on the net investment in the leases.

4.2.1.2.2 Operating leases – Company as a lessor

As per SLFRS 16, a lease is classified as an operating lease if it does not transfer substantially all the risks and rewards incidental to ownership of an underlying asset. The Company recognises lease payments from operating leases as income on straight line basis. Initial direct costs incurred in negotiating operating leases are added to the carrying amount of the leased asset and recognised over the lease term on the same basis as rental income. Contingent rents are recognised as revenue in the period in which they are earned.

Details of “Operating leases” are given in Note 29 .

4.3 Real Estate Stock

Real Estate stock comprises all costs of purchase, cost of conversion and other costs incurred in bringing the real estate to its saleable condition.

Purchase Cost	-	Land Cost with Legal Charges.
Cost of Conversion	-	Actual Development Costs.

Real Estate stocks are valued at the lower of cost and net realisable value, after making due allowances for slow moving items. Net realisable value is the price at which the real estate stocks can be sold in the ordinary course of business less estimated cost necessary to make the sale

4.4 Non – Financial Assets**4.4.1 Property, Plant & Equipment**

Property, plant & equipment are tangible items that are held for servicing, or for administrative purposes, and are expected to be used during more than one year.

Property, Plant & Equipment are recognised if it is probable that future economic benefits associated with the asset will flow to the entity and the cost of the asset can be measured reliably in accordance with LKAS 16 on Property, Plant & Equipment. Initially property and equipment are measured at cost.

Basis of Recognition and Measurement

- Cost Model

An item of property, plant & equipment that qualifies for recognition as an asset is initially measured at its costs. Costs include expenditure that is directly attributable to the acquisition of the asset and cost is incurred subsequently to add to or replace a part of it.

The cost of self-constructed assets includes the cost of materials and direct labour, any other costs directly attributable to bringing the asset to working condition for its intended use and the costs of dismantling and removing the items and restoring at the site on which they are located and capitalized borrowing costs.

When parts of property, plant & equipment have different useful lives, they are accounted for as separate items (major components) of property, plant & equipment.

The Company applies the cost model to property, plant & equipment except the freehold land and records at cost of purchase or construction together with any incidental expense thereon less accumulated depreciation and any accumulated impairment losses.

Changes in the expected useful life are accounted for by changing the depreciation period or method, as appropriate, and treated as changes in accounting estimates.

- Revaluation Model

The Company applies the revaluation model to the entire class of freehold land. Such properties are carried at a revalued amount, being the fair value at the date of revaluation less any subsequent accumulated impairment losses. Freehold land of the Company is revalued once in every year, if the fair values are substantially different from carrying amounts to ensure that the carrying amounts do not differ from the fair values at the reporting date. The Company has revalued its freehold land as at 31.03.2021 and details of the revaluation are given in Note 28.7 to the Financial Statements.

On revaluation of an asset, any increase in the carrying amount is recognised in Other comprehensive income and accumulated in equity, under revaluation reserve or used to reverse a previous revaluation decrease relating to the same asset, which was charged to the Income Statement. In these circumstances, the increase is recognised as income to the extent of the previous write down. Any decrease in the carrying amount is recognised as an expense in the Income Statement or debited to the other comprehensive income to the extent of any credit balance existing in the capital reserve in respect of that asset.

The decrease recognised in other comprehensive income reduces the amount accumulated in equity under revaluation reserves. Any balance remaining in the revaluation reserve in respect of an asset is transferred directly to retained earnings on retirement or disposal of the asset.

Subsequent Cost

The subsequent cost of replacing a component of an item of property, plant and equipment is recognized in the carrying amount of the item if it is probable that the future economic benefits embodied within that part will flow to the Company and its cost can be reliably measured. The costs of the day to day servicing property, plant and equipment are charged to the Statement of Comprehensive Income.

Repairs and Maintenance

Repairs and maintenance are charged to the profit or loss during the financial period in which they are incurred. The cost of major renovations is included in the carrying amount of the assets when it is probable that future economic benefits in excess of the most recently assessed standard of performance of the existing assets will flow to the Company and the renovation replaces an identifiable part of the asset. Major renovations are depreciated during the remaining useful life of the related asset.

Depreciation

The provision for depreciation is calculated by using the straight line method over the useful life of the assets on cost or valuation of the Property & Equipment other than freehold land, commencing from when the assets are available for use. The rates of depreciations are given below;

Asset Category	Rate of Depreciation (per annum)
• Furniture & Fittings	12.5% - 33.33%
• Office Equipment	12.5%
• Motor Vehicle	12.5%
• Computer Equipment	25%

The asset's residual values, useful lives and methods of depreciation are reviewed, and adjusted if appropriate, at each financial year end.

De-recognition

Property and equipment is derecognised on disposal or when no future economic benefits are expected from its use. Any gain or loss arising on derecognition of the asset (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in 'Other operating income' in the income statement in the year the asset is derecognised.

Upon disposal, any revaluation reserve relating to the particular asset being sold is transferred to retained earnings.

4.4.2 Intangible Assets

The Company's intangible assets include the value of computer software.

Basis of Recognition

An intangible asset is recognised only when its cost can be measured reliably, and it is probable that the expected future economic benefits that are attributable to it will flow to the company in accordance with the Sri Lanka Accounting Standard LKAS 38 on Intangible Assets.

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in business combination is their fair value as at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and accumulated impairment losses if any.

Subsequent Expenditure

Subsequent expenditure on Intangible Asset is capitalized only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Useful Economic life, Amortization and Impairment

The useful lives of intangible assets are assessed to be either finite or indefinite.

Intangible assets with finite lives are amortised over the useful economic life. The amortisation period and the amortisation method for an intangible asset with a finite useful life are reviewed at least at each financial year-end. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are accounted for by changing the amortisation period or method, as appropriate, and they are treated as changes in accounting estimates. The amortisation expense on intangible assets with finite lives is recognised in the income statement in the expense category consistent with the function of the intangible asset.

Amortization

Amortisation is calculated using the straight-line method to write down the cost of intangible assets to their residual value over their estimated useful life as follows:

Asset Category	Useful life
• Computer software	10 Years

The residual value of the intangible asset is zero.

The unamortized balances of Intangible assets with finite lives are reviewed for impairment whenever there is an indication for impairment and recognised in profit or loss to the extent that they are no longer probable of being recovered from the expected future benefits.

Derecognition

Intangible assets are derecognised on disposal or when no future economic benefits are expected from their use. Any gain or loss arising on derecognition of the asset, Calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognised in the profit or loss in the year the asset is derecognised.

4.4.3 Impairment of Non Financial Assets

The Company assesses at each reporting date whether there is an indication that an asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the company estimates the asset's recoverable amount. An asset's recoverable amount is the higher of an asset's or Cash Generating unit's (CGU) fair value less costs to sell and its value in use. Where the carrying amount of an asset or CGU exceeds its recoverable amount, the asset is considered impaired and is written down to its recoverable amount.

In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. In determining fair value less costs to sell, an appropriate valuation model is used. These calculations are corroborated by valuation multiples, quoted share prices for publicly traded subsidiaries or other available fair value indicators.

4.5 Retirement Benefit Obligations**4.5.1 Defined Benefit Plan - Gratuity**

All the employees of the company are eligible for gratuity under the Payment of Gratuity Act No. 12 of 1983, at the rate of one half of the Gross Salary applicable to the last month of the financial year in which the employment is terminated or resigned, for each year of completed service, for those who have served in excess of 5 years.

The Company measures the present value of the promised retirement benefits for gratuity which is a defined benefit plan with the advice of an independent professional actuary using projected unit credit actuarial cost method as required by Sri Lanka Accounting Standard – LKAS 19 on “Employee Benefits”.

The item is stated under other liabilities in the Statement of Financial Position.

Recognition of Actuarial Gains and Losses

Actuarial gains and losses are recognized in Other Comprehensive Income in the year in which they arise.



Interest Cost

Interest cost is the expected increase due to interest during the period in the present value of the planned liabilities because the benefits are one year closer to settlement

Recognition of Past Service Cost (Applicable only when a plan has been changed)

Past Service Costs are recognized as an expense on a straight line basis over the average period until the benefits become vested. If the benefits have already been vested, immediately following the introduction of, or changes to the plan, past service costs are recognized immediately.

Funding Arrangements

The Gratuity liability is not externally funded.

4.5.2 Defined Contribution Plans

The Company also contributes defined contribution plans. The contribution payable to a defined contribution plan is in proportion to the services rendered to the Company by the employees and is recorded as an expense under 'Personnel expenses'. Unpaid contributions are recorded as a liability.

The Company contributes to the following Schemes:

Employees' Provident Fund

The Company and employees contribute 12% and 8% respectively of the employee's total earnings (as defined in the Employees' Provident Fund) to the Employees' Provident Fund.

Employees' Trust Fund

The Company contributes 3% of the employee's total earnings (as defined in the Employees' Trust Fund) to the Employees' Trust Fund.

4.6 Provisions

Provisions are recognized when the Company has a present obligation (legal or constructive) as a result of a past event, where it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation in accordance with Sri Lanka Accounting Standard- LKAS 37 on 'provision, contingent liabilities and contingent assets'.

The amount recognised is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligations at that date.

When the Company expects some or all of a provision to be reimbursed, the reimbursement is recognised as a separate asset but only when the reimbursement is virtually certain.

The expense relating to any provision is presented in the income statement net of any reimbursement.

4.7 Recognition of Interest Income Interest Expense**4.7.1 Interest income and Interest Expense**

Under SLFRS 9, interest income and interest expense is recorded using the effective interest rate (EIR) method for all financial instruments measured at amortised cost.. The EIR is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period, to the net carrying amount of the financial asset or financial liability.

The EIR (and therefore, the amortised cost of the asset/liability) is calculated by taking into account any discount or premium on acquisition, fees and costs that are an integral part of the EIR. The Company recognises interest income/expense using a rate of return that represents the best estimate of a constant rate of return over the expected life of the loan. Hence, it recognises the effect of potentially different interest rates charged at various stages, and other characteristics of the product life cycle (including prepayments, penalty interest and charges).

If expectations regarding the cash flows on the financial asset/liability are revised for reasons other than credit risk, the adjustment is booked as a positive or negative adjustment to the carrying amount of the asset in the Statement of Financial Position with an increase or reduction in interest income/interest expense. The adjustment is subsequently amortised through Interest income/Interest expense in the income statement.

When a financial asset becomes credit-impaired (as set out in Note 41.4.1 (a)) and is, therefore, regarded as 'Stage 3', the Company calculates interest income by applying the effective interest rate to the net amortised cost of the financial asset. If the financial assets cures and is no longer credit-impaired, the Company reverts to calculating interest income on a gross basis.

Interest income on all trading assets and financial assets mandatorily required to be measured at FVPL is recognised using the contractual interest rate under net interest income.

4.7.2 Interest Income on Overdue Rentals

Interest from overdue rentals has been accounted when they are received.

4.8 Fee and Commission Income and Expenses

Fee and commission income and expense that are integral to the effective interest rate on a financial asset or financial liability are included in the effective interest rate.

Fee and Commission income – including account Credit related fees & commission, Service charge, Transfer Fees and other fees income – is recognised as the related services are performed. If a loan commitment is not expected to result in the draw-down of a loan, then the related loan commitment fee is recognised on a straight-line basis over the commitment period.

Fees earned for the provision of services over a period of time are accrued over that period

Other fee and commission expenses relate mainly to transaction and service fees, which are expensed as the services are received.

4.9 Dividend Income

Dividend income is recognised when the right to receive income is established.



4.10 Income from Government Securities and Securities purchased under Re-Sale Agreement

Discounts/ premium on Treasury bills & Treasury bonds are amortised over the period to reflect a constant periodic rate of return. The coupon interest on treasury bonds is recognised on an accrual basis. The interest income on securities purchased under resale agreement is recognised in the Income Statement on an accrual basis over the period of the agreement.

4.11 Net Trading Income

Net trading income includes all gains and losses from changes in fair value and related dividends for financial assets and financial liabilities 'held for trading' other than interest income.

4.12 Recovery of Bad Debts Written Off

Recovery of amounts written off as bad and doubtful debts is recognised upon received.

4.13 Personnel Expenses

Short term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognized for the amount expected to be paid under short term cash bonus or profit-sharing plans if the Company has a present legal or constructive obligation to pay all employee benefits relating to employee services in the current and prior periods and the obligation can be estimated reliably.

4.14 Other Operating Expenses

Other operating expenses are recognized in the Statement of Comprehensive Income on the basis of a direct association between the cost incurred and the earnings of the specific items of the income. All the expenditure incurred in the running business and in maintaining the property, plant and equipment in a state of efficiency has been charged to the Statement of Comprehensive Income in arriving at the profit of the year.

4.15 Taxes

As per Sri Lanka Accounting Standard –LKAS 12(Income Taxes),tax expense is the aggregate amount included in determination of profit or loss for the period in respect of current and deferred taxation. Income tax expense is recognised in the Income Statement, except to the extent it relates to items recognised directly in equity or other comprehensive income in which case it is recognised in equity or in other comprehensive income.

4.15.1 Current tax

Current tax assets and liabilities consist of amounts expected to be recovered from or paid to the Commissioner General of Inland Revenue in respect of the current year, using the tax rates and tax laws enacted or substantially enacted on the reporting date and any adjustment to the tax payable in respect of prior years.

Accordingly, provision for taxation is based on the profit for the year 2018 adjusted for taxation purposes in accordance with the provisions of the Inland Revenue Act No. 24 of 2017(Inland Revenue Act No.10 of 2006 and amendments thereto up to 31 March 2018) and the amendment thereto, at the rate specified in Note 15 to the Financial Statements.

Current tax relating to items recognised directly in equity is recognised in equity and in the Statement of Comprehensive Income.



4.15.1.1 Changes proposed to Income Tax from Government Tax Proposals

As per the Notice to tax payers and withholding agents on “Implementation of Proposed Changes to the Inland Revenue Act No. 24 of 2017” dated February 12, 2020 issued by the Department of Inland Revenue, Income Tax rates of Corporates has been revised to 24% from 28% effective from January 1, 2020, pending formal amendments to be made to the Inland Revenue Act .

4.15.2 Deferred tax

Deferred tax is provided, using the liability method, on temporary differences at the reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes.

Deferred tax liabilities are recognised for all taxable temporary differences except where the deferred income tax liability arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.

Deferred income tax assets are recognised for all deductible temporary differences, carry-forward of unused tax assets and unused tax losses, to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, and the carry-forward of unused tax assets and unused tax losses can be utilised except where the deferred income tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit or loss.

The carrying amount of deferred income tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred income tax asset to be utilised.

Deferred income tax assets and liabilities are measured at the tax rates that are expected to apply to the year when the asset is realised or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at the reporting date.

Deferred income tax relating to items recognised directly in equity is recognised in equity and not in the Statement of Comprehensive Income.

4.15.3 Value Added Tax (VAT) on Financial Services

VAT on Financial Services is calculated in accordance with Value Added Tax Act No 14 of 2002 and subsequent amendments thereto. The base for the computation of Value Added Tax on Financial Services is the accounting profit before VAT and income tax adjusted for the economic depreciation and emoluments of employees including cash, Non-cash benefits and provisions relating to terminal benefits, computed on prescribed rate.

4.15.4 Economic Service Charge (ESC)

As per provisions of the Economic Service Charge (ESC) Act No. 13 of 2006 and subsequent amendments thereto, ESC is payable on aggregate turnover of the Company at 0.5% and is deductible from income tax payable. Unclaimed ESC, if any, can be carried forward and set-off against the income tax payable in the three subsequent years.

ESC is not payable on turnover on which income tax is payable.

As per Notice published dated January 1, 2020 by the Department of Inland Revenue, ESC was abolished with effect from January 1, 2020.



4.15.5 Nation Building Tax (NBT) on Financial Services

NBT on financial services is calculated in accordance with Nation Building Tax (NBT) Act No 9 of 2009 and subsequent amendments thereto with effect from 01 January 2014. NBT on financial services is calculated as 2% of the value addition used for the purpose of VAT on financial services.

As per Notice published by the Department of Inland Revenue dated November 29, 2019, NBT was abolished with effect from December 1, 2019.

4.15.6 Debt Repayment Levy

A levy of 7% is charged monthly on the value addition attributable to the supply of financial services as specified in section 36 of Finance Act No. 35 of 2018 along with section 25C of the Value Added Tax (VAT) Act No. 14 of 2002.

As per notice published by the Department of Inland Revenue dated January 20, 2020, DRL was abolished with effect from January 1, 2020

4.15.7 Withholding Tax (WHT) on Dividends

Withholding tax that arises from the distribution of dividends by the Company is recognised at the time the liability to pay the related dividend is recognised.

As per Notice dated February 18, 2020 published by the Department of Inland Revenue, requirement to deduct WHT on dividends has been removed effective January 1, 2020.

4.16 Segment Reporting

The Company's segmental reporting is based on the following operating segments identified based on products and services;

- Leasing
- Hire Purchase
- Term Loans
- Others

A segment is a distinguishable component of a Company that is engaged in providing products and services. (Business segment, which is subject to risks and rewards that are different from those of other segments).

Segment results, assets and liabilities include items directly attributable to a segment as well as those that can be allocated on a reasonable basis.

The accounting policies adopted for segment reporting are those accounting policies adopted for preparing the financial statements of the Company.

4.17 Regulatory provisions**a. Statutory Reserve Fund**

The statutory reserve fund is maintained as required by Finance Companies (Capital Funds) Direction No.1 of 2003 issued by Central Bank of Sri Lanka. As per the said Direction, every Registered Finance Company shall maintain a reserve fund, out of the net profit for each year after provisions for taxation and bad and doubtful debts. Accordingly 20% of the net profit for the year transferred to Reserve Fund as required by Section 3(b) ii of the said Direction.

b. Deposit Insurance and Liquidity Support Scheme

In terms of the Finance Company's Act Direction No 2 of 2010 "Insurance of Deposit Liabilities" issued on 27 September 2010 and subsequent amendments there to all Registered Finance Companies are required to insure their deposit liabilities in the Deposit Insurance Scheme operated by the Monetary Board in terms of Sri Lanka Deposit Insurance Scheme Regulations No 1 of 2010 issued under Sections 32E of the Monetary Law Act with effect from 1 October 2010. The said scheme was renamed as the "Sri Lanka Deposit Insurance and Liquidity Support Scheme" as per the Sri Lanka Deposit Insurance and Liquidity Support Scheme Regulation No 1 of 2013.

Deposits to be insured include demand, time and savings deposit liabilities and exclude the following;

- a) Deposit liabilities to member institutions
- b) Deposit liabilities to Government of Sri Lanka
- c) Deposit liabilities to Directors, key management personnel and other related parties as defined in Banking Act Direction No 11 of 2007 on Corporate Governance of Licensed Commercial Banks
- d) Deposit liabilities held as collateral against any accommodation granted
- e) Deposit liabilities falling within the meaning of abandoned property in terms of the Banking Act and dormant deposits in terms of the Finance Companies Act funds of which have been transferred to Central Bank of Sri Lanka

Registered Finance Companies are required to pay a premium of 0.15% on total amount of eligible deposits as at end of the month with in a period of 15 days from the end of the respective month

c. Crop Insurance Levy (CIL)

In terms Section 15 of the Finance Act No 12 of 2013 all institutions under the purview of Banking Act No 30 of 1988, Finance Companies Act No 78 of 1988 and Regulation of Insurance Industry Act No 43 of 2000 are required to pay 1% of the profit after tax as Crop Insurance Levy to the National Insurance Trust Fund Board effective from 01 April 2013.

4.18 Earnings per Share (EPS)

Basic EPS is calculated by dividing the net profit or loss attributable to ordinary equity shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares if any.

5.1 SRI LANKA ACCOUNTING STANDARDS ISSUED BUT NOT YET EFFECTIVE AS AT 31 MARCH 2021

The following Sri Lanka Accounting Standards and interpretations have been issued by the Institute of Chartered Accountants of Sri Lanka which are not yet effective as at 31st March 2021, and earlier application is permitted. However, the Company has not early adopted the following amendments to Accounting Standards in preparing these Financial Statements as they are not expected to have a significant impact on the Company's Financial Statements.



5.1 Amendments to SLFRS 9, LKAS 39, SLFRS 7, SLFRS 4 and SLFRS 16 – Interest Rate Benchmark Reform (Phase 1 and Phase 2)

The amendments to SLFRS 9 & LKAS 39 provide a number of reliefs, which apply to all hedging relationships that are directly affected by interest rate benchmark reform. A hedging relationship is affected if the reform gives rise to uncertainty about the timing and/or amount of benchmark-based cash flows of the hedged item or the hedging instrument.

IBOR reforms Phase 2 include number of reliefs and additional disclosures. Amendments support companies in applying SLFRS when changes are made to contractual cash flows or hedging relationships because of the reform.

These amendments to various standards are effective for the annual reporting periods beginning on or after 01 January 2021. The Financial Statements of the Company is not expected to have a material impact.

5.2 SLFRS 17 Insurance Contracts

SLFRS 17 Insurance Contracts, is a comprehensive new accounting standard for insurance contracts covering recognition and measurement, presentation and disclosures. Once effective, SLFRS 17 replaces existing SLFRS 4 Insurance contracts. The overall objective of SLFRS 17 is to provide an accounting model for insurance contracts that is more useful and consistent for insurers.

SLFRS 17 is effective for reporting periods beginning on or after 1 January 2021. Early application permitted, if the entity is applying SLFRS 16 and SLFRS 15 on or before the date in which it first apply SLFRS17. The Financial Statements of the Company is not expected to have a material impact from SLFRS 17 - Insurance Contracts

5.3 Amendments to LKAS 37, LKAS 1, LKAS 16, SLFRS 3 and SLFRS 4 [As communicated by CA Sri Lanka on 24th and 25th March 2021]

Amendments to LKAS 37 Provisions, Contingent Liabilities and Contingent Assets-Onerous Contracts-Cost of fulfilling a contract.

The amendments specify which costs an entity includes in determining the cost of fulfilling a contract for the purpose of assessing whether the contract is onerous.

Amendments to LKAS 16 Property, Plant and Equipment-Proceeds before Indented Use

The amendments prohibit a Company from deducting from the cost of property, plant and equipment amounts received from selling items produced while the Company is preparing the asset for its intended use. Instead, a Company will recognise such sales proceeds and related costs in profit or loss.

Amendments to SLFRS 3 Business Combinations

The amendments updated SLFRS 3 by replacing a reference to an old version of the Conceptual Framework for financial Reporting with a reference to a last version, which was issued in March 2018. Thus, an entity shall apply the amendments to business combination for which the acquisition date is on or before the first annual reporting period beginning on or after 01st January 2022.

These amendments to various standards are effective for the annual reporting periods beginning on or after 01 January 2022. Early application permitted.

NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2021

6. INCOME	2021 Rs.	2020 Rs.
Interest Income	1,686,328,068	1,838,845,339
Fee & Commission Income	129,899,513	185,760,201
Net Gain/(Loss) from Trading	320,000	240,800
Other Operating Income	24,510,242	13,029,183
	<u>1,841,057,823</u>	<u>2,037,875,523</u>
6.1 Interest Income	2021 Rs.	2020 Rs.
Loans and Advances	346,327,135	405,750,147
Lease Rentals Receivable & Stock out on Hire	1,298,189,392	1,353,722,028
Financial Investments in Government Securities	29,828,046	45,435,146
Other Financial Assets	1,989,070	2,654,437
Placement with Banks	9,994,425	31,283,581
Total Interest Income	<u>1,686,328,068</u>	<u>1,838,845,339</u>
Interest income on Loans and Advances and Lease Rentals Receivable & Stock out on Hire includes interest income accrued on impaired Financial Assets amounting to Rs.45,823,647/- (2019/2020 -Rs.102,658,357/-).		
As explained in Note 4.1.8 (a), modifications to the original terms and conditions of the loans due to COVID-19 moratorium did not result in a derecognition of the original loans as the Company concluded that the modifications were not substantial. Accordingly, initial modification loss of Rs 73,994,535 has been recognised by the Company during the year ended 31 March 2021 under interest income, representing the difference between the original carrying value of the loan (before modification) and the discounted present value of the revised cash flows (at the Original EIR) at the date of the loan modification.		
6.2 Interest Expenses	2021 Rs.	2020 Rs.
Due to Banks	45,067,836	52,986,415
Due to Customers	502,772,971	723,889,845
Other Borrowed Funds	96,075,706	86,984,138
Leased Assets (Note 29.2)	10,692,222	12,871,643
Total Interest Expenses	<u>654,608,735</u>	<u>876,732,041</u>
7. NET FEE AND COMMISSION INCOME	2021 Rs.	2020 Rs.
7.1 Fee and Commission Income		
Credit Related Fees and Commissions	67,538,116	88,151,465
Service Charge	41,607,860	79,948,320
Transfer Fees	19,945,749	16,859,752
Other Fees	807,788	800,664
Total Fee and Commission Income	<u>129,899,513</u>	<u>185,760,201</u>
7.2 Fee and Commission Expenses		
Brokerage Fees	22,341,043	13,633,994
Total Fee and Commission Expenses	<u>22,341,043</u>	<u>13,633,994</u>
Net Fee and Commission Income	<u>107,558,470</u>	<u>172,126,207</u>
8. NET GAIN/(LOSS) FROM TRADING	2021 Rs.	2020 Rs.
Dividend Income from Financial Investments - Held for Trading	320,000	240,800
	<u>320,000</u>	<u>240,800</u>



9. OTHER OPERATING INCOME	2021 Rs.	2020 Rs.
Profit on disposal of Property & Equipment	3,545,932	-
Bad Debt Recoveries	12,591,008	12,559,522
Income From Sale of Real Estate	7,788,329	-
Others	584,973	469,661
Total Other Operating Income	24,510,242	13,029,183

10. CREDIT LOSS EXPENSE ON FINANCIAL ASSETS AND OTHER LOSSES

10.1 The table below shows the expected credit loss (ECL) charges for Financial Instruments for the year 2020/2021 recorded in the income statement.

	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Cash and Bank Balances	(2,953)			(2,953)
Placement With Banks	(10,611)			(10,611)
Loans and Advances	(4,015,372)	(13,641,641)	38,316,180	20,659,167
Lease Rentals Receivable & Stock Out on Hire	(21,752,415)	5,721,490	30,326,539	14,295,614
Other Debtors	-	-	73,325,536	73,325,536
	<u>(25,781,351)</u>	<u>(7,920,151)</u>	<u>141,968,255</u>	<u>108,266,753</u>

10.2 The table below shows the expected credit loss (ECL) charges for Financial Instruments for the year 2019/2020 recorded in the income statement.

	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Cash and Bank Balances	(28,045)	-	-	(28,045)
Placement With Banks	(7,675)	-	-	(7,675)
Loans and Advances	(4,123,672)	15,249,836	80,515,257	91,641,421
Lease Rentals Receivable & Stock Out on Hire	(2,180,102)	(3,161,368)	77,298,132	71,956,662
Other Debtors	-	-	169,691,444	169,691,444
	<u>(6,339,493)</u>	<u>12,088,467</u>	<u>327,504,833</u>	<u>333,253,807</u>

11. PERSONNEL COSTS	2021 Rs.	2020 Rs.
Salaries and Bonus	204,112,695	197,876,971
Employer's Contribution to EPF	19,298,184	21,192,193
Employer's Contribution to ETF	4,824,546	5,269,473
Gratuity Charge/ (Reversals) for the Year (Note 36.1)	6,581,662	5,489,724
Other Allowances & Staff Related Expenses	38,656,214	40,139,966
	<u>273,473,301</u>	<u>269,968,327</u>

12. DEPRECIATION & AMORTIZATION	2021 Rs.	2020 Rs.
Depreciation of Property Plant & Equipment	18,004,159	21,463,910
Amortization of intangible assets	7,996,000	4,650,912
Depreciation of Leased Assets	42,844,453	42,801,730
	<u>68,844,612</u>	<u>68,916,552</u>



13. OTHER OPERATING EXPENSES	2021 Rs.	2020 Rs.
Directors' Emoluments	3,330,000	11,833,500
Auditors Remuneration	- Audit -Non Audit	1,061,200
Professional & Legal Expenses	784,810	723,800
Office Administration & Establishment Expenses	4,752,135	18,525,247
Advertising & Business Promotion Expenses	81,787,460	105,659,809
Deposit Insurance premium	30,818,785	39,981,725
Loss on disposal of Property & Equipment	6,234,511	6,885,683
Others	-	163,923
	62,006,721	54,801,522
	<u>190,643,922</u>	<u>239,636,409</u>

14. TAXES ON FINANCIAL SERVICES	2021 Rs.	2020 Rs.
Value added tax on financial services	95,729,030	59,285,537
Nation building tax on financial services	-	3,980,506
Debt repayment levy on financial services	(15,579)	18,519,498
	<u>95,713,451</u>	<u>81,785,541</u>

15. TAXATION

15.1 The major components of income tax expense for the years ended 31 March are as follows.

(A) Statement of Profit or Loss	2021 Rs.	2020 Rs.
Current Income Tax		
Income Tax for the year	123,168,539	59,762,298
Deferred Tax		
Deferred Taxation Charge/ (Reversal) (Refer Note 30)	16,806,517	(9,240,540)
	<u>139,975,056</u>	<u>50,521,758</u>
(B) Other Comprehensive Income		
Deferred Tax		
Deferred Taxation Charge/ (Reversal) (Refer Note 30)	18,451,990	(65,861)
	<u>18,451,990</u>	<u>(65,861)</u>
(C) Total Tax Expense for the year	<u>158,427,046</u>	<u>50,455,897</u>

15.2 Reconciliation of Accounting Profit and Taxable Income

A reconciliation between the tax expense and the accounting profit multiplied by government of Sri Lanka's tax rate for the Years ended 31 March 2021 and 2020 is as follows.

	2021 Rs.	2020 Rs.
Accounting Profit Before Income Taxation	427,166,006	153,948,852
At the statutory income tax rate of 24% (2019-2020 -28%)	102,519,841	43,105,679
Tax Effect on		
Disallowable Expenses	191,634,684	343,772,471
Tax Deductible Expenses	(170,058,162)	(327,048,428)
Non-taxable Income/ Losses	(927,824)	(67,424)
Income Tax	123,168,539	59,762,298
Deferred Taxation Charge/(Reversal) (Note 29)	16,806,517	(9,240,540)
Total Tax Expense (Note 15.1 (A))	<u>139,975,056</u>	<u>50,521,758</u>

Effective tax rate	33%	33%
--------------------	-----	-----



16. EARNINGS PER ORDINARY SHARE

The Company presents basic and diluted Earnings per Share (EPS) data for its ordinary shares. Basic earnings per share is calculated by dividing the profit or loss attributable to ordinary equity share holders of the Company by the weighted average number of ordinary shares outstanding during the year. Diluted EPS is determined by adjusting both the profit attributable to the ordinary equity share holders and the weighted average number of ordinary shares outstanding, for the effects of all dilutive potential ordinary shares if any.

16.1 Earnings per Share: Basic / Diluted	2021 Rs.	2020 Rs.
Amount used as the numerator		
Profit after tax for the year attributable to equity holders (Rs.)	287,190,950	103,427,094
No. of ordinary shares used as the denominator		
Number of ordinary shares (Note 37.1)	66,561,573	66,561,573
Basic / diluted earnings per ordinary share (Rs.)	<u>4.31</u>	<u>1.55</u>

17. CASH AND BANK BALANCES	2021 Rs.	2020 Rs.
Cash in Hand	137,780,841	38,940,137
Balances with Banks	88,327,922	108,020,724
Less: Allowance for expected credit losses	(16,220)	(19,173)
	<u>226,092,543</u>	<u>146,941,688</u>

17.1 The movement in provision for expected credit losses are as follows.

	2021		2020	
	Rs. Stage 01	Rs. Total	Rs. Stage 01	Rs. Total
Balance as at 01 April	19,174	19,174	47,219	47,219
Charge/(Reversal) to Income Statement	(2,954)	(2,954)	(28,045)	(28,045)
Balance as at 31 March	<u>16,220</u>	<u>16,220</u>	<u>19,174</u>	<u>19,174</u>

17.1 Cash and Cash Equivalents in the Cash Flow Statement	2021 Rs.	2020 Rs.
Cash and Bank Balances	226,108,764	146,960,861
Bank Overdrafts	(130,717,626)	(274,356,762)
Treasury Bills and Repurchase Agreements	942,235,676	483,034,463
Placement with Banks	187,519,379	184,432,682
Total Cash and Cash Equivalents for the purpose of Cash Flow Statements	<u>1,225,146,193</u>	<u>540,071,245</u>



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2021

18. PLACEMENT WITH BANKS

	2021	2020
	Rs.	Rs.
Fixed Deposit Investments	207,300,631	204,400,424
Less: Allowance for expected credit losses	(35,659)	(46,270)
	<u>207,264,972</u>	<u>204,354,154</u>

18.1 The movement in provision for expected credit losses are as follows.

	2021		2020	
	Rs.	Rs.	Rs.	Rs.
	Stage 01	Total	Stage 01	Total
Balance as at 01 April	46,270	46,270	53,945	53,945
Charge/(Reversal) to Income Statement	(10,611)	(10,611)	(7,675)	(7,675)
Balance as at 31 March	<u>35,659</u>	<u>35,659</u>	<u>46,270</u>	<u>46,270</u>

Fixed Deposit Investments include Investments amounting to Rs.53,365,669/- that have been Pledged for facilities obtained from Banks.

19. SECURITIES PURCHASED UNDER REPURCHASE AGREEMENT

	2021	2020
	Rs.	Rs.
Repurchased Agreements	942,235,676	279,143,141
	<u>942,235,676</u>	<u>279,143,141</u>

20. LOANS AND ADVANCES

	2021	2020
	Rs.	Rs.
Real Estate Loans	47,513	2,647,669
Mortgage Loans	224,695,966	291,504,696
Personnel Loans	781,951,002	1,138,509,663
Loans against Fixed Deposits	103,170,686	136,689,665
Staff Loans	53,450,515	49,513,280
Revolving Loans	86,485,104	92,633,620
Business Loans	224,130,478	385,885,563
Other Loans	202,886,534	98,298,912
	<u>1,676,817,798</u>	<u>2,195,683,068</u>
Other Charges Receivable	27,045,185	28,107,694
	<u>1,703,862,983</u>	<u>2,223,790,762</u>
Less : Allowance for Impairment Losses (Note 20.1)	(324,354,391)	(303,695,224)
Net Loans and Advances	<u>1,379,508,592</u>	<u>1,920,095,538</u>

20.1 Analysis of Loans and Advances on Maximum Exposure to credit Risk as at 31 March 2021

	Stage 01	Stage 02	Stage 03	Total
	Rs.	Rs.	Rs.	Rs.
Individually Impaired Loans and Advances	-	-	430,660,435	430,660,435
Loans and Advances subject to Collective Impairment	782,480,837	117,715,727	373,005,984	1,273,202,548
Allowances for Expected Credit Losses	(7,011,322)	(19,230,667)	(298,112,402)	(324,354,391)
	<u>775,469,515</u>	<u>98,485,060</u>	<u>505,554,017</u>	<u>1,379,508,592</u>

Analysis of Loans and Advances on Maximum Exposure to credit Risk as at 31 March 2020

	Stage 01	Stage 02	Stage 03	Total
	Rs.	Rs.	Rs.	Rs.
Individually Impaired Loans and Advances	-	-	591,284,945	591,284,945
Loans and Advances subject to Collective Impairment	995,598,142	250,396,795	386,510,881	1,632,505,817
Allowances for Expected Credit Losses	(11,026,693)	(33,775,819)	(258,892,712)	(303,695,224)
	<u>984,571,449</u>	<u>216,620,976</u>	<u>718,903,113</u>	<u>1,920,095,538</u>

20.2 Allowance for Impairment Losses

	2021	2020
	Rs.	Rs.
As at 01 April	303,695,224	212,053,803
Charge / (Reversal) for the year	20,659,167	91,641,421
Amounts written off	-	-
As at 31 March	<u>324,354,391</u>	<u>303,695,224</u>
Individual Impairment	229,243,733	173,253,788
Collective Impairment	95,110,658	130,441,436
	<u>324,354,391</u>	<u>303,695,224</u>
Gross amount of loans individually determined to be impaired, before deducting the individually assessed impairment allowance	<u>430,660,435</u>	<u>482,337,780</u>



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2021

20. LOANS AND ADVANCES (Contd...)

20.3 Movement in Allowance for Expected Credit Loss (ECL)	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Balance as at 01 April 2020	8,751,044	33,192,482	261,751,697	303,695,224
Charge/(Reversal) to Income Statement	(4,015,372)	(13,641,641)	38,316,180	20,659,167
Amounts written off	-	-	-	-
Balance as at 31 March 2021	4,735,672	19,550,841	300,067,877	324,354,391
Movement in Allowance for Expected Credit Loss (ECL)	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Balance as at 01 April 2019	12,874,716	17,942,647	181,236,440	212,053,803
Charge/(Reversal) to Income Statement	(4,123,672)	15,249,836	80,515,257	91,641,421
Amounts written off	-	-	-	-
Balance as at 31 March 2020	8,751,044	33,192,482	261,751,697	303,695,224

21. LEASE RENTALS RECEIVABLE & STOCK OUT ON HIRE

	2021 Rs.	2020 Rs.
Gross rentals receivables		
-Lease Rentals	8,705,293,842	8,184,446,221
-Amounts Receivable form Hirers	23,086,454	22,710,281
	8,728,380,296	8,207,156,502
Less: Unearned Income	(2,217,422,961)	(1,820,804,752)
Net rentals receivables	6,510,957,335	6,386,351,750
Less : Rental Received In Advance	-	-
Less : Suspended VAT	(3,748,608)	(4,118,338)
	6,507,208,727	6,382,233,412
Other Charges Receivable	188,165,794	126,039,159
	6,695,374,521	6,508,272,571
Less : Allowance for Impairment Losses (Note 21.1)	(668,240,572)	(653,944,958)
Total Net Rentals Receivable	6,027,133,949	5,854,327,613

Lease & hirers receivables include receivables amounting to Rs. 2,495,213,815 that have been Pledged for facilities obtained from Banks.

21.1 Analysis of Lease Rental Receivable & Stock Out on Hire on Maximum Exposure to credit Risk as at 31 March 2021	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Individually Impaired Lease Receivables	-		345,012,936	345,012,936
Lease Rental Receivable & Stock out of Hire subject to Collective Impairment	3,813,865,339	1,074,211,824	1,462,284,422	6,350,361,585
Allowances for Expected Credit Losses	(117,917,428)	(111,806,028)	(438,517,116)	(668,240,572)
	3,695,947,911	962,405,796	1,368,780,242	6,027,133,949
Analysis of Lease Rental Receivable & Stock Out on Hire on Maximum Exposure to credit Risk as at 31 March 2020	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Individually Impaired Lease Receivables	-	-	364,223,078	364,223,078
Lease Rental Receivable & Stock out of Hire subject to Collective Impairment	3,848,811,622	1,110,076,553	1,185,161,318	6,144,049,493
Allowances for Expected Credit Losses	(139,669,844)	(107,417,517)	(406,857,598)	(653,944,958)
	3,709,141,778	1,002,659,037	1,142,526,798	5,854,327,613



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2021

21. LEASE RENTALS RECEIVABLE & STOCK OUT ON HIRE (Contd...)

21.2 Allowance for Impairment Losses		2021 Rs.	2020 Rs.
As at 01 April		653,944,958	581,988,296
Charge / (Reversal) for the year		14,295,614	71,956,662
Amounts written off		-	-
As at 31 March		668,240,572	653,944,958
Individual Impairment		136,928,574	134,885,582
Collective Impairment		531,311,998	519,059,376
		668,240,572	653,944,958
Gross amount of lease and hire purchase rental receivables individually determined to be impaired, before deducting the individually assessed impairment allowance		345,012,936	364,223,078

21.3 Movement in Allowance for Expected Credit Loss (ECL)	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Balance as at 01 April 2020	139,007,604	99,255,300	415,682,055	653,944,958
Charge/(Reversal) to Income Statement	(21,752,416)	5,721,490	30,326,539	14,295,614
Amounts written off	-	-	-	-
Balance as at 31 March 2021	117,255,188	104,976,790	446,008,594	668,240,572
Movement in Allowance for Expected Credit Loss (ECL)	Stage 01 Rs.	Stage 02 Rs.	Stage 03 Rs.	Total Rs.
Balance as at 01 April 2019	141,187,705	102,416,668	338,383,923	581,988,296
Charge/(Reversal) to Income Statement	(2,180,102)	(3,161,368)	77,298,132	71,956,662
Amounts written off	-	-	-	-
Balance as at 31 March 2020	139,007,604	99,255,300	415,682,055	653,944,958
	Within one year Rs.	1 - 5 years Rs.	Over 5 years Rs.	Total Rs.

21.4 As at 31 March 2021				
Gross rentals receivables				
-Lease Rentals	4,450,756,164	4,254,537,677	-	8,705,293,842
-Amounts Receivable form Hirers	23,069,991	16,463	-	23,086,454
	4,473,826,155	4,254,554,140	-	8,728,380,296
Less: Unearned Income	(793,624,888)	(1,423,798,073)	-	(2,217,422,961)
Net rentals receivables	3,680,201,268	2,830,756,067	-	6,510,957,335
Less : Suspended VAT				(3,748,608)
				6,507,208,727
Other Charges Receivable				188,165,794
				6,695,374,521
Less : Allowance for Impairment Losses				(668,240,572)
Total net rentals receivable				6,027,133,949
	Within one year Rs.	1 - 5 years Rs.	Over 5 years Rs.	Total Rs.

As at 31 March 2020				
Gross rentals receivables				
-Lease Rentals	4,573,510,319	3,610,935,902	-	8,184,446,221
-Amounts Receivable form Hirers	22,160,281	550,000	-	22,710,281
	4,595,670,600	3,611,485,902	-	8,207,156,502
Less: Unearned Income	(758,802,650)	(1,062,002,102)	-	(1,820,804,752)
Net rentals receivables	3,836,867,950	2,549,483,800	-	6,386,351,750
Less : Suspended VAT				(4,118,338)
				6,382,233,412
Other Charges Receivable				126,039,159
				6,508,272,571
Less : Allowance for Impairment Losses				(653,944,958)
Total net rentals receivable				5,854,327,613





22. FINANCIAL INVESTMENTS -FAIR VALUE THROUGH OTHER COMPREHENSIVE INCOME / AVAILABLE FOR SALE

	2021	2020
	Rs.	Rs.
Credit Information Bureau-Unquoted Equities *	80,400	80,400
	<u>80,400</u>	<u>80,400</u>

* Cost is assumed to be the best approximation for the fair value of unquoted equity shares due to the absence of most recent exit prices.

23. DEBT INSTRUMENTS AT AMORTISED COST / FINANCIAL INVESTMENTS - HELD TO MATURITY

	2021	2020
	Rs.	Rs.
Government of Sri Lanka Treasury Bills	-	203,891,322
Government of Sri Lanka Treasury Bonds	13,684,192	21,529,821
	<u>13,684,192</u>	<u>225,421,143</u>

The Company has classified its investments in government debt securities-Treasury bonds & Treasury Bills previously classified as financial investments held to maturity as debt instruments at amortised cost.

24. OTHER FINANCIAL ASSETS

	2021	2020
	Rs.	Rs.
Reposessed Stock	1,653,186	40,387,915
Other Receivables	75,908,301	54,640,147
	<u>77,561,487</u>	<u>95,028,062</u>
Less : Allowance for Impairment Losses (Note 24.1)	(5,219,722)	(40,387,915)
	<u>72,341,765</u>	<u>54,640,147</u>
Deposit	19,513,161	16,953,352
Due From Related Parties	7,987,631	24,894,050
	<u>99,842,557</u>	<u>96,487,549</u>

Reposessed stock of the Company and the corresponding ECL allowances are grouped under Stage 3.

24.1 Allowance for Impairment Losses

	2021	2020
	Rs.	Rs.
As at 01 April	40,387,915	47,820,057
Charge / (Reversal) for the year	73,325,536	169,691,444
Amounts written off	(108,493,729)	(177,123,586)
As at 31 March	<u>5,219,722</u>	<u>40,387,915</u>
Individual Impairment	-	-
Collective Impairment	<u>5,219,722</u>	<u>40,387,915</u>
	<u>5,219,722</u>	<u>40,387,915</u>

24.2 Movement in Allowance for Expected Credit Loss (ECL)

	Stage 03	Total
	Rs.	Rs.
Balance as at 01 April 2020	40,387,915	40,387,915
Charge/(Reversal) to Income Statement	73,325,536	73,325,536
Amounts written off	(108,493,729)	(108,493,729)
Balance as at 31 March 2021	<u>5,219,722</u>	<u>5,219,722</u>

Movement in Allowance for Expected Credit Loss (ECL)

	Stage 03	Total
	Rs.	Rs.
Balance as at 01 April 2019	47,820,057	47,820,057
Charge/(Reversal) to Income Statement	169,691,444	169,691,444
Amounts written off	(177,123,586)	(177,123,586)
Balance as at 31 March 2020	<u>40,387,915</u>	<u>40,387,915</u>



25. REAL ESTATE STOCK

	2021 Rs.	2020 Rs.
Real Estate Stocks	31,066,726	39,313,213
	<u>31,066,726</u>	<u>39,313,213</u>

26. OTHER NON FINANCIAL ASSETS

	2021 Rs.	2020 Rs.
Advances	10,708,355	27,379,656
Pre-paid Staff Cost (Note 26.1)	19,944,071	23,819,448
Other Receivables	212,630	212,630
Pre Paid Rent Deposit	-	-
Pre-Paid Expenses	18,424,795	12,541,400
	<u>49,289,851</u>	<u>63,953,134</u>

26.1 The movement in the Pre-Paid Staff Cost

	2021 Rs.	2020 Rs.
Balance as at 1 April	23,819,448	23,683,269
Add: Adjustment for new grants (net of settlements)	342,732	4,998,269
Charge to Personnel Expenses	(4,218,109)	(4,862,090)
Balance as at 31 March	<u>19,944,071</u>	<u>23,819,448</u>

27. INTANGIBLE ASSETS

	Computer Software	
	2021 Rs.	2020 Rs.
Cost		
Cost as at 01 April	71,996,796	70,765,299
Additions	12,523,002	1,231,497
As at 31 March	<u>84,519,798</u>	<u>71,996,796</u>
Amortisation & Impairment:		
As at 1 April	42,657,376	38,006,464
Amortisation Charge for the year	7,996,000	4,650,912
As at 31 March	<u>50,653,376</u>	<u>42,657,376</u>
Net book value:		
As at 31 March	<u>33,866,422</u>	<u>29,339,420</u>

Nature and Amortization Method

Intangible Assets represent acquisition of computer software from third parties. These software are amortized over the estimated useful life of 10 years on a straight line basis.

During the financial year, the Company acquired intangible assets (Computer Software) to the aggregate value of Rs.12,523,001 (2019/2020 - Rs.1,231,497).



28. PROPERTY, PLANT AND EQUIPMENT**28.1 Gross Carrying Amounts**

Cost /Valuation	Balance As at 01.04.2020 Rs.	Additions/ Transfers/Reva luation Rs.	Disposals Rs.	Balance As at 31.03.2021 Rs.
Freehold Assets				
Land	24,940,093	89,459,907	-	114,400,000
Furniture & Fittings	77,362,312	861,954	-	78,224,266
Office Equipment	26,275,228	228,150	-	26,503,378
Motor Vehicles	3,325,613	124,000	(3,325,613)	124,000
Computer Hardware	68,145,091	3,212,021	(558,279)	70,798,833
Total Value of Depreciable Assets	200,048,337	93,886,032	(3,883,892)	290,050,477

28.2 Depreciation

	Balance As at 01.04.2020 Rs.	Charge for the Period Rs.	Disposals Rs.	Balance As at 31.03.2021 Rs.
Furniture & Fittings	55,057,659	7,916,054	-	62,973,713
Office Equipment	16,096,304	2,441,398	-	18,537,702
Motor Vehicles	3,325,613	6,458	(3,325,613)	6,458
Computer Hardware	55,235,854	7,640,249	(385,212)	62,490,891
	129,715,430	18,004,159	(3,710,825)	144,008,764

28.3 Net Book Values

At Cost/Valuation	2021 Rs.	2020 Rs.
Land	114,400,000	24,940,093
Furniture & Fittings	15,250,553	22,304,653
Office Equipment	7,965,676	10,178,924
Motor Vehicles	117,542	-
Computer Hardware	8,307,942	12,909,237
Total Carrying Amount of Property, Plant & Equipment	146,041,713	70,332,907

28.4 The useful lives of the assets are estimated as follows;

	2021	2020
Furniture & Fittings	3 - 8 Years	3 - 8 Years
Office Equipment	8 Years	8 Years
Motor Vehicles	8 Years	8 Years
Computer Hardware	4 years	4 years

28.5 During the Financial year, the Company acquired Property, Plant & Equipment to the aggregate value of Rs. 4,426,125/- (2019/2020- Rs.6,969,045/-).

28.6 Cost of fully depreciated assets of the company as at 31 March 2021 is Rs. 92,123,334/- (2019/2020 - Rs. 71,793,003/-).



28. PROPERTY, PLANT AND EQUIPMENT (Contd...)**28.7 Fair value related disclosures of freehold land**

Fair value of the land was determined using the market comparable method. The valuations have been performed by the valuer and are based on proprietary databases of prices of transactions for properties of similar nature, location and condition. As at the dates of revaluation on 31 March 2021, the lands' fair values are based on valuations performed by H.R De Silva, a professionally qualified independent valuer. A net gain from the revaluation of the land Rs.89,459,907 in 2020/2021 was recognised in OCI and the surplus arising from the revaluation was transferred to a revaluation reserve.

Reconciliation of carrying amount

	Rs.
Carrying Value before Revaluation as at 31 March 2021*	24,940,093
Revaluation gain recognised in OCI due to change in accounting policy to revaluation model as at 31 March 2021	89,459,907
Carrying Value and fair value as at 31 March 2021	<u>114,400,000</u>

*The Company changed the accounting policy with respect to the measurement of Free hold Land as at 31 March 2021 on a prospective basis. Therefore, the fair value of the land was not measured at 31 March 2020.

Fair value hierarchy

The fair value the Company's freehold land was determined using the market comparable method. This means that valuations performed are based on prices of transactions involving properties of a similar nature, location and condition. Since this valuation was performed using a significant non-observable input, the fair value was classified as a Level 3 measurement.

Valuation techniques and significant unobservable inputs

The following table shows the valuation technique used in measuring the fair value of freehold land, as well as the significant unobservable inputs used.

Name of the Professional Valuer/Location	Extent	Method of Valuation and Significant Unobservable	Valued in 31 March 2021 Rs.
H.R De Silva			
Freehold land at Awissawella Road, Galwana, Mulleriyawa	71.5 perches	Market Comparable Method- Estimated price per perch:Rs.1,600,000	114,400,000

The carrying value of Company's revalued freehold land, if it was carried at cost, would be as follows.

	2021 Cost Rs.	2021 Carrying Value Rs.	2020 Cost Rs.	2020 Carrying Value Rs.
Freehold Land	24,940,093	24,940,093	24,940,093	24,940,093
	<u>24,940,093</u>	<u>24,940,093</u>	<u>24,940,093</u>	<u>24,940,093</u>



29. RIGHT-OF-USE-ASSETS

Set out below are the carrying amounts of right-of-use-assets recognised and movements during the year.

	2021	2020
	Rs.	Rs.
29.1 Cost		
Balance as at 01 April	124,052,063	-
Effect of Adoption SLFRS 16	-	114,286,206
Restated Balance as at 01 April	124,052,063	114,286,206
Additions and Improvements	24,084,992	9,765,857
Cost as at 31 March	<u>148,137,055</u>	<u>124,052,063</u>
Accumulated Amortisation		
Balance as at 01 April	42,801,730	-
Charge for the year (Note 12)	42,844,453	42,801,730
Accumulated Amortisation as at 31 March	<u>85,646,183</u>	<u>42,801,730</u>
		-
Net Book Value as at 31 March	<u><u>62,490,872</u></u>	<u><u>81,250,333</u></u>

29.2 Lease Liability

Set out below are the carrying amounts of Lease Liabilities (Included under Other Financial Liabilities in Note 33) and movements during the year.

	2021	2020
	Rs.	Rs.
Balance as at 01 April		-
Effect of Adoption SLFRS 16	80,532,978	107,061,118
Restated Balance as at 01 April	80,532,978	107,061,118
Additions	22,329,329	7,977,333
Accretion of Interest (Note 6.2)	10,692,222	12,871,643
Payments	(50,246,244)	(47,377,116)
Balance as at 31 March	<u><u>63,308,285</u></u>	<u><u>80,532,978</u></u>

29.3 Maturity Analysis of Lease Liability

	2021	2020
	Rs.	Rs.
As at 31 March		
Less than 01 year	26,596,559	37,718,475
01 to 05 years	31,784,233	41,556,685
More than 05 years	4,927,493	1,257,818
	<u><u>63,308,285</u></u>	<u><u>80,532,978</u></u>

29.4 Sensitivity of Right-of use Assets /Lease Liability to Key Assumptions**Sensitivity to Discount Rates**

1% increase/(Decrease) in discount rate as at 31 March 2021 would have increased/(decreased) the lease liability by approximately Rs.1,003,903 with a similar increase/(decrease) in the Right- of-use Assets. Had the Company increased/(decreased) the discount rate by 1% the Company's profit before tax for the year would have increased/(decreased) by approximately Rs.237,956.



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2021

30. DEFERRED TAXATION

Deferred Tax Assets, Liabilities and Income Tax relates to the followings

	Statement of Financial Position		Recognized in Statement of Other Comprehensive Income		Recognized in Statement of Profit or Loss		Recognized in Statement of Statement of Changes in Equity	
	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.
Deferred Tax Liability								
Capital Allowances for Tax Purposes								
-Property Plant & Equipment	5,248,508	9,459,881			(4,211,374)	(3,703,375)	-	-
-Leased Asset	8,472,497	-			8,472,497	(25,253,759)	-	-
Revaluation of Land	19,056,000	-	19,056,000	-	-	-	-	-
Define Benefit Plan- Other Comprehensive Income	468,127	1,072,137	(604,010)	(65,861)	-	-	-	-
	<u>33,245,132</u>	<u>10,532,018</u>	<u>18,451,990</u>	<u>(65,861)</u>	<u>4,261,123</u>	<u>(28,957,134)</u>	<u>-</u>	<u>-</u>
Deferred Tax Assets								
Capital Allowances for Tax Purposes								
-Leased Asset	-	(1,376,107)	-	-	1,376,107	(1,376,107)	-	-
Defined Benefit Plans- Income Statement	(6,951,710)	(6,513,978)	-	-	(437,732)	(484,050)	-	-
Define Benefit Plan- Other Comprehensive Income	-	-	-	-	-	-	-	-
Provision for Impairment on Financial Assets	(34,395,223)	(46,084,626)	-	-	11,689,402	-	-	-
Impact of Adoption of SLFRS 09	-	-	-	-	-	23,207,706	-	-
Operating Leased Assets-SLFRS 16	(1,713,339)	(1,630,955)	-	-	(82,384)	(1,630,955)	-	-
Brought Forward Tax Losses	-	-	-	-	-	-	-	-
	<u>(43,060,272)</u>	<u>(55,605,666)</u>	<u>-</u>	<u>-</u>	<u>12,545,393</u>	<u>19,716,594</u>	<u>-</u>	<u>-</u>
Deferred income tax charge/(reversal)			<u>18,451,990</u>	<u>(65,861)</u>	<u>16,806,517</u>	<u>(9,240,540)</u>	<u>-</u>	<u>-</u>
Net Deferred Tax Liability/ (Asset)	<u>(9,815,140)</u>	<u>(45,073,647)</u>						

31. DUE TO BANKS

	2021 Rs.	2020 Rs.
Bank Overdrafts	130,717,626	274,356,762
Bank Facilities (Note 31.2 (a), 31.2 (b))	249,516,610	535,315,926
	<u>380,234,236</u>	<u>809,672,688</u>



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2021

31. DUE TO BANKS (Contd...)

31.1 Due to Banks



Amount repayable within 1 year Rs.	2021 Amount repayable after 1 year Rs.	Total Rs.	Amount repayable within 1 year Rs.	2020 Amount repayable after 1 year Rs.	Total Rs.
128,400,000	121,116,610	249,516,610	307,199,259	228,116,667	535,315,926
128,400,000	121,116,610	249,516,610	307,199,259	228,116,667	535,315,926

Bank Facilities

31.2 (a) Bank Facilities

	As at 01.04.2020 Rs.	Loans Obtained Rs.	Interest Recognized Rs.	Repayments Capital Rs.	Interest Rs.	As at 31.03.2021 Rs.	Period Rs.	Security Rs.
Direct Bank Borrowings								
Term Loans								
Term Loan 01 Seylan Bank PLC	51,666,667	-	5,672,333	16,666,667	5,672,333	35,000,000	60 Months	Lease Portfolio
Term Loan 02 Seylan Bank PLC	68,750,000	-	6,751,116	20,833,333	6,751,116	47,916,610	48Months	Lease Portfolio
Term Loan 01 Nations Trust Bank PLC	83,258,333	-	6,213,068	83,258,333	6,213,068	-	24 Months	Lease Portfolio
Term Loan 03 Seylan Bank PLC	236,100,000	-	21,355,583	69,500,000	21,355,583	166,600,000	36 Months	Lease Portfolio
Loan Against FD 06- Seylan Bank PLC	15,540,926	-	161,692	15,540,926	161,692	-		Fixed Deposits
Loan Against FD 07- Seylan Bank PLC	80,000,000	-	878,689	80,000,000	878,689	-		Fixed Deposits
	535,315,926	-	41,032,481	285,799,259	41,032,481	249,516,610		

31.2 (b) Bank Facilities

	As at 01.04.2019 Rs.	Loans Obtained Rs.	Interest Recognized Rs.	Repayments Capital Rs.	Interest Rs.	As at 31.03.2020 Rs.	Period Rs.	Security Rs.
Direct Bank Borrowings								
Term Loans								
Term Loan 02 Union Bank of Colombo PLC	34,722,165	-	1,096,453	34,722,165	1,096,453	-	36 Months	Lease Portfolio
Term Loan 01 Seylan Bank PLC	71,666,667	-	8,838,857	20,000,000	8,838,857	51,666,667	60 Months	Lease Portfolio
Term Loan 02 Seylan Bank PLC	93,750,000	-	12,219,924	25,000,000	12,219,924	68,750,000	48Months	Lease Portfolio
Term Loan 01 Nations Trust Bank PLC	183,200,000	-	19,357,786	99,948,560	19,350,893	83,258,333	24 Months	Lease Portfolio
Term Loan 03 Seylan Bank PLC	-	250,000,000	4,909,232	13,900,000	4,909,232	236,100,000	36 Months	Lease Portfolio
Loan Against FD 01- Seylan Bank PLC	-	130,000,000	2,399,639	130,000,000	2,399,639	-		Fixed Deposits
Loan Against FD 02- Seylan Bank PLC	-	115,000,000	579,137	115,000,000	579,137	-		Fixed Deposits
Loan Against FD 03- Seylan Bank PLC	-	50,000,000	98,630	50,000,000	98,630	-		Fixed Deposits
Loan Against FD 04- Seylan Bank PLC	-	50,000,000	622,951	50,000,000	622,951	-		Fixed Deposits
Loan Against FD 05- Seylan Bank PLC	-	50,000,000	196,721	50,000,000	196,721	-		Fixed Deposits
Loan Against FD 06- Seylan Bank PLC	-	30,000,000	196,721	14,459,074	196,721	15,540,926		Fixed Deposits
Loan Against FD 07- Seylan Bank PLC	-	80,000,000	-	-	-	80,000,000		Fixed Deposits
	383,338,832	755,000,000	50,516,052	603,029,798	50,509,160	535,315,926		

32. DUE TO CUSTOMERS

	2021 Rs.	2020 Rs.
Fixed Deposits	4,884,089,170	5,110,990,119
Savings Deposits	34,712,967	37,151,925
	<u>4,918,802,137</u>	<u>5,148,142,044</u>

33. OTHER BORROWED FUNDS

	2021 Rs.	2020 Rs.
Securitization Loan (Note 33.1)	1,164,284,295	649,837,356
Borrowings on Commercial Papers	46,348,239	-
	<u>1,210,632,535</u>	<u>649,837,356</u>

33.1 Other Borrowed Funds	Amount repayable within 1 year Rs.	2021 Amount repayable after 1 year Rs.	Total Rs.	Amount repayable within 1 year Rs.	2020 Amount repayable after 1 year Rs.	Total Rs.
Securitized Borrowings	733,910,063	430,374,232	1,164,284,295	633,837,356	16,000,000	649,837,356
	<u>733,910,063</u>	<u>430,374,232</u>	<u>1,164,284,295</u>	<u>633,837,356</u>	<u>16,000,000</u>	<u>649,837,356</u>

33.2 (a) Other Borrowed Funds

	As at 01.04.2020 Rs.	Loans Obtained Rs.	Interest Recognized Rs.	Repayments Capital Rs.	Interest Rs.	As at 31.03.2021 Rs.	Period Rs.	Security Rs.
Securitized Borrowings 01	230,350,386	-	7,341,922	190,316,128	47,376,180	-	22 Months	Lease Portfolio
Securitized Borrowings 02	264,171,866	-	17,585,154	200,000,000	27,754,235	54,002,785	24 Months	Lease Portfolio
Securitized Borrowings 03	155,315,104	-	16,793,335	149,519,300	22,589,139	-	15 Months	Lease Portfolio
Securitized Borrowings 04	-	350,000,000	37,024,925	100,000,000	9,065,685	277,959,240	24 Months	Lease Portfolio
Securitized Borrowings 05	-	95,000,000	5,903,363	28,500,000	1,351,644	71,051,719		Lease Portfolio
Securitized Borrowings 06	-	250,250,974	5,354,026	-	-	255,605,000		Lease Portfolio
Securitized Borrowings 07	-	500,000,000	5,665,551	-	-	505,665,551		Lease Portfolio
	<u>649,837,356</u>	<u>1,195,250,974</u>	<u>95,668,276</u>	<u>668,335,428</u>	<u>108,136,883</u>	<u>1,164,284,295</u>		



	As at 01.04.2019 Rs.	Loans Obtained Rs.	Interest Recognized Rs.	Repayments Capital Rs.	Interest Rs.	As at 31.03.2020 Rs.	Period Rs.	Security Rs.
Securitized Borrowings 01	420,593,845	-	53,410,387	209,656,150	33,997,696	230,350,386	22 Months	Lease Portfolio
Securitized Borrowings 02	-	300,000,000	27,767,410	59,000,000	4,595,544	264,171,866	24 Months	Lease Portfolio
Securitized Borrowings 03	-	150,000,000	5,806,340	480,700	10,536	155,315,104	15 Months	Lease Portfolio
	<u>420,593,845</u>	<u>450,000,000</u>	<u>86,984,138</u>	<u>269,136,850</u>	<u>38,603,776</u>	<u>649,837,356</u>		

34. OTHER FINANCIAL LIABILITIES		2021 Rs.	2020 Rs.
Trade Payables - Related Parties (Note 34.1)		2,039,609	33,822,081
Non Trade Payables - Related Parties (Note 34.2)		772,241	3,365,700
Trade Payables - Other Parties		55,165,549	221,148,908
Lease Liability (Note 29.2)		63,308,285	80,532,978
Accrued Expenses		414,321,319	381,193,803
		<u>535,607,003</u>	<u>720,063,470</u>
34.1 Trade Payables to Related Parties		Relationship	
Abans PLC	Parent Company	600,543	612,029
Abans Auto (Pvt)Ltd	Affiliate Company	1,439,066	33,210,052
		<u>2,039,609</u>	<u>33,822,081</u>
34.2 Non Trade Payables to Related Parties		Relationship	
Abans PLC	Parent Company	70,200	242,612
Abans Retail (Pvt) Ltd	Affiliate Company	-	129,600
Abans Graphics (Pvt) Ltd	Affiliate Company	-	681,448
Abans Environmental Services	Affiliate Company	186,546	235,581
ABS Gardner Dixon Hall International (Pvt) Ltd	Affiliate Company	-	646,552
AB Securitas (Pvt) Ltd	Affiliate Company	385,470	1,187,344
AB Logistics (Pvt) Ltd	Affiliate Company	-	-
ABS Courier (Pvt) Ltd	Affiliate Company	130,025	242,563
		<u>772,241</u>	<u>3,365,700</u>
35. OTHER NON FINANCIAL LIABILITIES		2021 Rs.	2020 Rs.
VAT on Financial Services		13,377,575	22,350,083
VAT Payable		(2,707)	51,581
Others		2,502,290	1,389,562
		<u>15,877,158</u>	<u>23,791,226</u>
36. RETIREMENT BENEFIT OBLIGATIONS		2021 Rs.	2020 Rs.
Retirement Benefit Obligations - Gratuity			
Balance at the beginning of the year		19,435,147	17,471,181
Current Service Cost		4,717,831	3,567,894
Payments made during the year		(1,518,589)	(3,760,975)
Interest Charged/(Reversed) for the year		1,863,831	1,921,830
(Gain)/loss arising from changes in the assumption		2,516,706	235,217
Balance at the end of the year		<u>27,014,926</u>	<u>19,435,147</u>



36. RETIREMENT BENEFIT OBLIGATIONS (Contd...)	2021 Rs.	2020 Rs.
36.1 Expenses on Defined Benefit Plan		
Current Service Cost for the year	4,717,831	3,567,894
Interest Charge for the year	1,863,831	1,921,830
	<u>6,581,662</u>	<u>5,489,724</u>
Amount Recognized in the Other Comprehensive Income		
(Gain)/Loss arising from changes in the assumption (Note 36.2)	2,516,706	235,217
	<u>2,516,706</u>	<u>235,217</u>
36.2 (Gain) / Loss arising from the changes in the assumption		
Due to change in Demographic Assumptions	(160,779)	-
Due to change in Financial Assumptions	3,704,019	985,588
Experience Adjustment	(1,026,534)	(750,371)
	<u>2,516,706</u>	<u>235,217</u>
36.3 Actuarial valuation of Retiring Gratuity Obligation as at 31 March 2021 was carried out by Messrs. Actuarial and Management Consultants (Pvt) Ltd, a firm of professional actuaries using "Project Unit Credit Method" as recommended by LKAS 19-'Employee Benefits'.		
35.4 Assumptions	2021	2020
Discount Rate	7.27%	9.59%
Salary Increment Rate	6.00%	5.00%
Staff Turnover	16.00%	17.00%
Retirement Age	60 Years	60 Years

Assumptions regarding future mortality are based on 67/70 Mortality Table and issued by the Institute of Actuaries, London.

36.5 Sensitivity of Assumptions in Actuarial Valuation of Retiring Gratuity Obligation

The following table demonstrates the sensitivity to a possible change in key assumptions employed with all other variables held constant in the Retiring Gratuity Obligations measurement. The sensitivity of the Statement of Financial position and Statement of Comprehensive Income is the effect of the assumed changes in the discount rate and salary increment on the profit or loss and Retiring Gratuity obligation for the year.

Increase/(Decrease) in Discount Rate	Increase/(Decrease) in Salary Increment Rate	2021		2020	
		Sensitivity Effect on Statement of Comprehensive Income	Sensitivity Effect on Defined Benefit Obligation	Sensitivity Effect on Statement of Comprehensive Income	Sensitivity Effect on Defined Benefit Obligation
1%		1,481,227	(1,481,227)	890,519	(890,519)
-1%		(1,652,014)	1,652,014	(981,361)	981,361
	1%	(1,787,601)	1,787,601	(1,109,883)	1,109,883
	-1%	1,628,746	(1,628,746)	(1,020,867)	1,020,867

36.6 Maturity Profile of the Defined Benefit Obligation Plan

Maturity Profile of the Defined Benefit Obligation Plan as at the reporting date is given below;

	2021 Years	2020 Years
Weighted Average Duration of the Defined Benefit Obligation	6.18	5.25
Average Time to Benefit Payout	5.80	5.45



36. RETIREMENT BENEFIT OBLIGATIONS (Contd...)**36.7 Distribution of Defined Benefit Obligation Over Future Lifetime**

The following table demonstrates distribution of the future working lifetime of the Defined Benefit Obligation as at the reporting period.

	2021 Rs.	2020 Rs.
Less than 1 year	3,627,938	3,317,443
Between 1-5 years	10,587,332	7,896,191
Between 5-10 years	6,851,896	4,094,776
Over 10 years	5,947,760	2,162,771
	<u>27,014,926</u>	<u>17,471,181</u>

37. STATED CAPITAL

	2021		2020	
	No. of Shares	Rs.	No. of Shares	Rs.
37.1 Issued and Fully Paid-Ordinary shares				
As at 31 March	66,561,573	1,121,412,955	66,561,573	1,121,412,955
	<u>66,561,573</u>	<u>1,121,412,955</u>	<u>66,561,573</u>	<u>1,121,412,955</u>

37.2 Rights of Shareholders

The holders of ordinary shares confer their right to receive dividends as declared from time to time and are entitled to one vote per share at the meeting. All shares rank equally with regard to the Company's residual assets.

38. RETAINED EARNINGS AND OTHER RESERVES

	2021 Rs.	2020 Rs.
38.1 Retained Earnings		
As at 01 April	382,235,796	299,663,476
Dividend Paid	-	-
Profit/(Loss) for the Year	287,190,950	103,427,094
Other Comprehensive Income net of tax	(1,912,696)	(169,356)
Transfers to Statutory Reserve Fund	(57,438,190)	(20,685,418)
As at 31 March	<u>610,075,860</u>	<u>382,235,796</u>

Retained Earnings represents the undistributed earnings held by the Company to be used in the Company's operations. This could be used to absorb future possible losses or dividends payable.

38.2 Other Reserves	Statutory Reserve	Total
38.2.1 Statutory Reserve Fund		

The statutory reserve fund is maintained as required by Finance Companies (Capital Funds) Direction No.1 of 2003 issued by Central Bank of Sri Lanka. As per the said Direction, every Registered Finance Company shall maintain a reserve fund, out of the net profit for each year after provisions for taxation and bad and doubtful debts. Accordingly 20% of the net profit for the year transferred to Reserve Fund as required by Section 3(b) ii of the said Direction.

	2021 Rs.	2020 Rs.
Balance as at 01 April	133,669,250	112,983,832
Transfers to/(from) during the year	57,438,190	20,685,418
Balance as at 31 March	<u>191,107,440</u>	<u>133,669,250</u>
38.2.2 Revaluation Reserve		
Balance as at 01 April	-	-
Revaluation Surplus (Net of Tax)	70,403,907	-
Balance as at 31 March	<u>70,403,907</u>	<u>-</u>



39. ANALYSIS OF FINANCIAL INSTRUMENTS BY MEASUREMENT BASIS

39.1 As at 31 March 2021	Amortised Cost	Equity Instruments - FVOCI	Total
	Rs.	Rs.	Rs.
Assets			
Cash and Bank Balances	226,092,543	-	226,092,543
Placement With Banks	207,264,972	-	207,264,972
Repurchase Agreements	942,235,676	-	942,235,676
Loans and Advances	1,379,508,592	-	1,379,508,592
Lease rentals receivable & Stock out on Hire	6,027,133,949	-	6,027,133,949
Equity instruments at fair value through OCI	-	80,400	80,400
Debt Instruments at Amortised Cost	13,684,192	-	13,684,192
Other Financial Assets	99,842,557	-	99,842,557
Total Financial Assets	8,895,762,480	80,400	8,895,842,880
Liabilities			
Due to Banks	380,234,236	-	380,234,236
Due to Customers	4,918,802,137	-	4,918,802,137
Other Borrowed Funds	1,210,632,535	-	1,210,632,535
Other Financial Liabilities	535,607,003	-	535,607,003
Total Financial Liabilities	7,045,275,911	-	7,045,275,911

39.2 As at 31 March 2020	Amortised Cost	Equity Instruments - FVOCI	Total
	Rs.	Rs.	Rs.
Assets			
Cash and Bank Balances	146,941,688	-	146,941,688
Placement With Banks	204,354,154	-	204,354,154
Repurchase Agreements	279,143,141	-	279,143,141
Loans and Advances	1,920,095,538	-	1,920,095,538
Lease rentals receivable & Stock out on Hire	5,854,327,613	-	5,854,327,613
Equity instruments at fair value through OCI	-	80,400	80,400
Debt Instruments at Amortised Cost	225,421,143	-	225,421,143
Other Financial Assets	96,487,549	-	96,487,549
Total Financial Assets	8,726,770,826	80,400	8,726,851,226
Liabilities			
Due to Banks	809,672,688	-	809,672,688
Due to Customers	5,148,142,044	-	5,148,142,044
Other Borrowed Funds	649,837,356	-	649,837,356
Other Financial Liabilities	720,063,470	-	720,063,470
Total Financial Liabilities	7,327,715,558	-	7,327,715,558

HFT - Held for Trading

HTM - Held-to-Maturity

L & R - Loans and Receivables

OFL - Other Financial Liabilities



40. FAIR VALUE OF FINANCIAL INSTRUMENTS**Financial Instruments Recorded at Fair Value**

The following is a description of how fair values are determined for financial instruments that are recorded at fair value using valuation techniques. These incorporate the Company's estimate of assumptions that a market participant would make when valuing the financial instruments.

40.1 Determination of Fair Value and Fair Value Hierarchy

The Company uses the following hierarchy for determining and disclosing the fair value of financial instruments by Valuation techniques.

Level 1 :Quoted (unadjusted) prices in active markets for identical assets or liabilities in the active Market.

Level 2: Valuation technique using observer able inputs: Quoted prices for similar assets and liabilities in active markets or quoted prices for identical or similar assets and liabilities in active markets and are valued using models where all significant inputs are observable.

Level 3: Valuation techniques with significant unobservable inputs: assets and liabilities valued using valuation techniques where one or more significant inputs are unobservable.

Assets and Liabilities Measured at Fair Value - Fair Value Hierarchy

The following table shows an analysis of financial instruments recorded at fair value by level of the fair value hierarchy in to which the fair value measurement is categorized.

As at 31 March 2021	Level 1 Rs.	Level 2 Rs.	Level 3 Rs.	Total Rs.
Financial Assets				
Financial Investments - Held for Trading				
Quoted Equities	-	-	-	-
Financial Investments - Available for Sale				
Unquoted Equities	-	-	80,400	80,400
Total Financial Assets measured at fair value	<u>-</u>	<u>-</u>	<u>80,400</u>	<u>80,400</u>
Non Financial Assets				
Freehold land & buildings (included under Property, Plant& Equipment)			114,400,000	114,400,000
Total Non - Financial Assets measured at fair value	<u>-</u>	<u>-</u>	<u>114,400,000</u>	<u>114,400,000</u>
As at 31 March 2020				
Financial Assets				
Financial Investments - Held for Trading				
Quoted Equities	-	-	-	-
Financial Investments - Available for Sale				
Unquoted Equities	-	-	80,400	80,400
Total Financial Assets	<u>-</u>	<u>-</u>	<u>80,400</u>	<u>80,400</u>

There were no financial liabilities recorded at fair value as at 31 March 2020 & 2021

There were no transfers between Level 1 and Level 2 during 2020 & 2021.



40. FAIR VALUE OF FINANCIAL INSTRUMENTS (Contd...)**40.2 Fair Value of Financial Assets and Liabilities Not Carried at Fair Value**

Set out below is the comparison, by class, of the carrying amounts of Fair Values of the Company's Financial Instruments that are not carried at Fair Value in the Financial Statements. This table does not include the Fair Values of Non-Financial Assets and Non-Financial Liabilities. The reported fair values below may differ, due to Covid-19 related events.

	Carrying Amount Rs.	2021 Fair Value				Carrying Amount Rs.	2020 Fair Value			
		Level 01 Rs.	Level 02 Rs.	Level 03 Rs.	Total Rs.		Level 01 Rs.	Level 02 Rs.	Level 03 Rs.	Total Rs.
Financial Assets										
Loans and Advances	1,379,508,592	-	1,187,927,791	-	1,187,927,791	1,920,095,538	-	1,806,713,994	-	1,806,713,994
Lease rentals receivable & Stock out on Hire	6,027,133,949	-	5,539,481,556	-	5,539,481,556	5,854,327,613	-	5,686,854,987	-	5,686,854,987
Debt instruments at amortised cost	13,684,192	-	12,922,492	-	12,922,492	225,421,143	-	224,927,166	-	224,927,166
	<u>7,420,326,733</u>	<u>-</u>	<u>6,740,331,839</u>	<u>-</u>	<u>6,740,331,839</u>	<u>7,999,844,294</u>	<u>-</u>	<u>7,718,496,147</u>	<u>-</u>	<u>7,718,496,147</u>
Financial Liabilities										
Due to Customers	4,918,802,137	-	5,130,858,773	-	5,130,858,773	5,148,142,044	-	5,382,270,533	-	5,382,270,533
	<u>4,918,802,137</u>	<u>-</u>	<u>5,130,858,773</u>	<u>-</u>	<u>5,130,858,773</u>	<u>5,148,142,044</u>	<u>-</u>	<u>5,382,270,533</u>	<u>-</u>	<u>5,382,270,533</u>

The following describes the methodologies and assumptions used to determine the Fair Values for those Financial Assets & Liabilities which are not already recorded at fair value in the Financial Statements.

Fixed Rate Financial Instruments

Carrying amounts are considered as Fair Values for short term credit facilities. All credit facilities with fixed interest rates were fair valued using market rates at which fresh credit facilities were granted during the last month of the reporting year. Conversely, fixed deposits with remaining tenors above one year and interest paid at maturity were discounted using current market rates offered to customers during the last month of the reporting year.

Assets & Liabilities for which Fair Value Approximates Carrying Value

The Following is a list of Financial Investments whose carrying amount is a reasonable approximation of Fair Value. Because for example, they are short-term in nature or reprice to current market rates Frequently:

Assets

Cash and Bank Balances
Placement With Banks
Repurchase Agreements
Other Financial Assets

Liabilities

Due to Banks
Due to Customers
Other borrowed funds
Other Financial Liabilities

Reclassification of Financial Assets

There have been no reclassifications during 2020 /2021



41. RISK MANAGEMENT DISCLOSURES**41.1 Introduction**

Risk is inherent in a financial business and such risks are managed through a process of ongoing identification, measurement and monitoring, subject to risk limits and other controls. This process of risk management is critical to the Company's continuing profitability and each individual within the Company is accountable for the risk exposures relating to his or her responsibilities.

The Company is exposed to credit risk, interest rate risk, liquidity risk, operational risk, the latter being subdivided into regulatory & compliance risk, reputation risk and environmental risk. The independent risk control process does not include business risks such as changes in the environment, technology and industry.

The Company's policy is to monitor those business risks through the Company's strategic planning process.

41.2 Risk Management Structure

The Board is primarily responsible for risk management initiatives. Integrated Risk Management Committee (IRMC), which is a sub-committee of the Board has been established and delegated risk management responsibilities. This Committee plays a vital role in establishing best practices in relation to risk policies and practices within the company.

The quantum and level of risks that the Company is willing to accept is decided at the IRMC level, and the decisions made by this Committee are communicated to the Board of Directors. The Board ratifies the risk policies and risk tolerance levels agreed at the Integrated Risk Management Committee meetings.

The Committee fulfils the requirement set out in the Finance Companies Direction No. 3 of 2008 on Corporate Governance issued by Central Bank of Sri Lanka (CBSL) under Finance Business Act No. 42 of 2011.

The Committee consists of Two Non Executive Directors, 2 Directors, Chief Executive Officer, Chief Financial Officer / Chief Accountant/Accountant, Head of Credit & Legal, Head of Branches, Head of Recoveries, Manager – Risk & Compliance, Chief Technology Officer & Manager-Legal were also co-opted to the Committee.

IRMC is supported by two sub committees such as Assets and Liabilities Committee (ALCO) and Credit Committee (CC). ALCO is entrusted with the identification and managing of Market Risk and Liquidity Risk where as CC is responsible for managing Assets Quality and credit policy of the Company.

The Company's policy is to ensure that risk management processes throughout the Company are audited by the Internal Audit function, which examines both the adequacy of the procedures and the Company's compliance with the procedures. Internal Audit division discusses the results of all assessments with management, and reports its findings and recommendations to the Board Audit Committee.

Responding to COVID-19 pandemic risks

The outbreak of COVID 19 has caused disruptions to business and economic activities, and uncertainty to the global and local economy. The subsequent adverse economic effects have caused financial stress among our customers which may lead to elevated levels of credit risk in the short term. Further, the Company monitored the liquidity position with concern as it was under pressure due to the payment holidays offered under moratoriums. The operational risks too increased owing to the work from home arrangements etc. during the lock down periods. The Company's Risk Management Framework strives to manage the outcomes of such adverse economic and market conditions proactively, whilst achieving the risk-return objectives of the Company.

In this back drop, the Company took additional measures to ensure that the risks caused by the pandemic are adequately managed.

- Reviewed risk elevated industries in the context of COVID-19 pandemic.
- Assessed the impact of the COVID-19 lock downs and moratoriums (payment holidays) on the portfolio staging
- Used of a range of additional stress tests to assess the impact on Company's performance and capital
- Ensured adequate liquidity resources were held to meet Company's obligations, given the uncertainties caused by the pandemic

41.3 Risk measurement & Reporting System and Risk Mitigation

The positioning map of each risk component is placed within the risk grid. Tolerance levels are set by using sustainable measurements and these are discussed at risk management meetings. The risk console indicates the severity of each component of risk.



41. RISK MANAGEMENT DISCLOSURES (Contd...)**41.4 Credit Risk**

Credit risk refers to the risk that borrowers will default on any type of debt by failing to disruption to cash flows, and increased collection costs. The loss may be complete or partial and can arise in a number of circumstances to make payments they are obligated to do. The risk of loss of principal or loss of a financial reward stems from a borrower's failure to repay a loan or otherwise meet a contractual obligation. The risk is primarily that of the lender and includes lost principal and interest.

Credit risk is closely tied to the potential return, the most notable being that the yields on portfolios correlate strongly to their perceived credit risk. The strategy of Company is not to eliminate risk, but to maintain the same within pre-determined acceptance levels. The Company manages and controls credit risk by setting limits on the amount of risk it is willing to accept for individual counterparties and for geographical and industry concentrations, and by monitoring exposures in relation to such limits.

41.4.1 Impairment Assessment

The methodology of the impairment assessment has explained in Note 4.1.10 under Accounting policies. The references below should be read in conjunction with those Accounting policies.

41.4.1 (a) Definition of default and cure

The Company considers a financial instrument defaulted and therefore Stage 3 (credit-impaired) for ECL calculations in all cases when the borrower becomes 90 days past due on its contractual payments. The Company considers treasury and interbank balances defaulted and takes immediate action when the required intra day payments are not settled by the close of business as outlined in the individual agreements.

As a part of a qualitative assessment of whether a customer is in default, the Company also considers a variety of instances that may indicate unlikelihood to pay. When such events occur, the Company carefully considers whether the event should result in treating the customer as defaulted and therefore assessed as Stage 3 for ECL calculations or whether Stage 2 is appropriate. Such events include:

- * Internal assessment of the borrower indicating default or near-default
- * The borrower requesting emergency funding from the Company
- * The borrower having past due liabilities to public creditors or employees
- * The borrower is deceased
- * A material decrease in the underlying collateral value where the recovery of the loan is expected from the sale of the collateral
- * A material decrease in the borrower's turnover or the loss of a major customer
- * A covenant breach not waived by the Company
- * The debtor (or any legal entity within the debtor's group) filing for bankruptcy application/protection
- * Debtor's listed debt or equity suspended at the primary exchange because of rumours or facts about financial difficulties

It is the Company's policy to consider a financial instrument as 'cured' and therefore re-classified out of Stage 3 when none of the default criteria have been present for at least six consecutive months. The decision whether to classify an asset as Stage 2 or Stage 1 once cured depends on the updated credit grade, at the time of the cure, and whether this indicates there has been a significant increase in credit risk compared to initial recognition.

41.4.1 (b) Significant increase in credit risk

The Company continuously monitors all assets subject to ECLs. In order to determine whether an instrument or a portfolio of instruments is subject to 12mECL or LTECL, the Company assesses whether there has been a significant increase in credit risk since initial recognition.

The Company is focused on supporting customers who are experiencing financial difficulties because of the COVID19 pandemic and has offered a range of industry-wide financial assistance measures including the debt moratorium initiated by the Central Bank of Sri Lanka. As per industry guidance given by the Central Bank and the Institute of Chartered Accountants of Sri Lanka, eligibility for the debt moratorium does not automatically result in a significant increase in credit risk (SICR) which moves an exposure from stage 1 (12-month ECL) to stage 2 (lifetime ECL). Accordingly, The Company has identified industries such as tourism and construction (including condominiums), as industries carrying an increased credit risk. Accordingly, exposures outstanding from the borrowers operating in these industries have been classified as stage 2 unless such exposures are individually significant and has specifically identified as stage 1.

This approach ensures the volume of exposures in stage 2 reflects a forward-looking view of the economy and not just what is observable as at the reporting date.



41. RISK MANAGEMENT DISCLOSURES (Contd...)**41.4 Credit Risk (Contd...)****41.4.1 (c) Assessment of Expected Credit Losses****41.4.1(c) Analysis of the total allowance for expected credit losses is as follows.**

2021				
Stage 01	Stage 02	Stage 03	Total	
Rs.	Rs.	Rs.	Rs.	
Cash and Bank Balances	(2,953)	-	-	(2,953)
Placement With Banks	(10,611)	-	-	(10,611)
Loans and Advances	(4,015,372)	(13,641,641)	38,496,015	20,839,002
Lease Rentals Receivable & Stock Out on Hire	(21,752,415)	5,721,490	30,326,539	14,295,614
Other Debtors			73,145,701	73,145,701
Total Allowance for Expected Credit Losses	(25,781,351)	(7,920,151)	141,968,255	108,266,753

2020				
Stage 01	Stage 02	Stage 03	Total	
Rs.	Rs.	Rs.	Rs.	
Cash and Bank Balances	(28,045)	-	-	(28,045)
Placement With Banks	(7,675)	-	-	(7,675)
Loans and Advances	(4,123,672)	15,249,836	80,515,257	91,641,421
Lease Rentals Receivable & Stock Out on Hire	(2,180,102)	(3,161,368)	77,298,132	71,956,662
Other Debtors	-	-	169,691,444	169,691,444
Total Allowance for Expected Credit Losses	(6,339,493)	12,088,467	327,504,833	333,253,807

The methodology used in the determination of expected credit losses is explained in Note 4.1.10 to Financial Statements.

41.4.1(d) Movement of the total allowance for expected credit losses during the period

	2021 Rs.	2020 Rs.
Balance as at 01 April	998,093,541	841,963,320
Charge/(Reversal) to Income Statement (Note 10)	108,266,753	333,253,807
Write- off during the year	(108,493,729)	(177,123,586)
Balance as at 31 March	997,866,565	998,093,541

41.4.1(e) Sensitivity Analysis : Impact of increase/(Decrease) of loss rate by 1% on collective allowance for expected credit losses

If the loss rates used by the Company undermining collective impairment has increased / decreased by 1%, ECL provision of the company as at 31 March 2021 would have increased / decreased by Rs. 34,139,714



41. RISK MANAGEMENT DISCLOSURES (Contd...)**41.4 Credit Risk (Contd...)****41.4.1(f) Loans past due but not impaired**

A loan is considered past due when a counterparty has not made a payment by the contractual due date. The following table presents the carrying value of loans that are contractually past due but not classified as impaired because they are less than 90 days past due. Loans past due 30 days or less are not presented in this analysis as they are not administratively considered past due.

As at 31 March 2021

	2021		
	31-60 Days	61-90 Days	Total
	Rs.	Rs.	Rs.
Loans and Advances	82,863,852	67,404,474	150,268,326
Lease Rentals Receivable & Stock Out on Hire	722,594,582	365,149,680	1,087,744,262
Other Debtors	-	-	-
	<u>805,458,434</u>	<u>432,554,153</u>	<u>1,238,012,588</u>

As at 31 March 2020

	2020		
	31-60 Days	61-90 Days	Total
	Rs.	Rs.	Rs.
Loans and Advances	179,987,804	66,306,415	246,294,219
Lease Rentals Receivable & Stock Out on Hire	725,477,181	384,599,372	1,110,076,553
Other Debtors	-	-	-
	<u>905,464,985</u>	<u>450,905,787</u>	<u>1,356,370,772</u>

41.4.1(g) Overview of rescheduled loans and advances (except individually impaired loans and advances)

As at 31 March 2021	2021				Net Carrying Value
	Gross Carrying Value		Allowance for ECL		
	Stage 3	Total	Stage 3	Total	
Loans and Advances	38,390,559	38,390,559	2,650,181	2,650,181	35,740,378
Lease Rentals Receivable & Stock Out on Hire	33,831,467	33,831,467	6,908,627	6,908,627	26,922,840
	<u>72,222,026</u>	<u>72,222,026</u>	<u>9,558,808</u>	<u>9,558,808</u>	<u>62,663,218</u>
As at 31 March 2020	2020				Net Carrying Value
	Gross Carrying Value		Allowance for ECL		
	Stage 3	Total	Stage 3	Total	
Loans and Advances	35,828,080	35,828,080	5,755,010	5,755,010	30,073,071
Lease Rentals Receivable & Stock Out on Hire	32,862,378	32,862,378	6,092,996	6,092,996	26,769,382
	<u>68,690,458</u>	<u>68,690,458</u>	<u>11,848,006</u>	<u>11,848,006</u>	<u>56,842,453</u>



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2021

41. RISK MANAGEMENT DISCLOSURES (Contd...)

41.4 Credit Risk (Contd...)

41.4.2 Maximum Exposure to Credit risk

The following table shows the maximum exposure to credit risk by class of Financial Asset and the value of Financial Assets covered by the collateral.

Type of Collateral	Maximum Exposure to Credit Risk Rs.	Fair Value of Collateral Held				Total Collateral Value Rs.	Net Exposure to Credit Risk Rs.
		Cash / Near Cash Rs.	Property Mortgages Rs.	Moveable Assets * Rs.	Other ** Rs.		
As at 31 March 2021							
Cash and Bank Balances (Excluding cash in hand)	88,311,702	-	-	-	-	-	88,311,702
Placement With Banks	207,264,972	-	-	-	-	-	207,264,972
Repurchase Agreements	942,235,676	-	-	-	-	-	942,235,676
Loans and Advances	1,703,862,983	107,813,992	467,339,990	31,965,396	47,513	607,166,891	1,096,696,092
Lease rentals receivable & Stock out on hire	6,695,374,521	-	-	6,242,937,479	-	6,242,937,479	452,437,042
Equity instruments at fair value through OCI	80,400	-	-	-	-	-	80,400
Debt instruments at amortised cost	13,684,192	-	-	-	-	-	13,684,192
Other Financial assets	99,842,557	-	-	-	-	-	99,842,557
	9,750,657,002	107,813,992	467,339,990	6,274,902,874	47,513	6,850,104,369	2,900,552,633

Type of Collateral	Maximum Exposure to Credit Risk Rs.	Fair Value of Collateral Held				Total Collateral Value Rs.	Net Exposure to Credit Risk Rs.
		Cash / Near Cash Rs.	Property Mortgages Rs.	Moveable Assets * Rs.	Other ** Rs.		
As at 31 March 2020							
Cash and Bank Balances (Excluding cash in hand)	108,001,550	-	-	-	-	-	108,001,550
Placement With Banks	204,354,154	-	-	-	-	-	204,354,154
Repurchase Agreements	279,143,141	-	-	-	-	-	279,143,141
Loans and Advances	2,223,790,762	136,689,665	276,716,384	104,626,721	2,647,669	520,680,439	1,703,110,322
Lease rentals receivable & Stock out on hire	6,508,272,571	-	-	6,057,059,755	-	6,057,059,755	451,212,816
Equity instruments at fair value through OCI	80,400	-	-	-	-	-	80,400
Debt instruments at amortised cost	225,421,143	-	-	-	-	-	225,421,143
Other Financial assets	96,487,549	-	-	-	-	-	96,487,549
	9,645,551,270	136,689,665	276,716,384	6,161,686,476	2,647,669	6,577,740,194	3,067,811,077

* Movable assets includes absolute ownership/ mortgage over motor vehicles and Machineries & Equipments.

** Other collateral includes secured by consumer durables & title deed transfers (Real Estate Loans).



41. RISK MANAGEMENT DISCLOSURES (Contd...)**41.4 Credit Risk (Contd...)****41.4.3 Credit Quality by Class of Financial Assets**

The amounts presented are gross of Impairment allowances.

As at 31 March 2021	Neither Past Due nor Individually Impaired Rs.	Past Due Not Individually Impaired Rs.	Individually Impaired Rs.	Total Rs.
Assets				
Cash and Bank Balances	226,092,543	-	-	226,092,543
Placement With Banks	207,264,972	-	-	207,264,972
Repurchase Agreements	942,235,676	-	-	942,235,676
Loans and Advances	668,787,022	604,415,526	430,660,435	1,703,862,983
Lease Rentals Receivable & Stock Out on Hire	3,065,240,329	3,285,121,256	345,012,936	6,695,374,521
Equity instruments at fair value through OCI	80,400	-	-	80,400
Debt instruments at amortised cost	13,684,192	-	-	13,684,192
Other Financial Assets	75,908,301	1,653,186	-	77,561,487
Total	5,199,293,435	3,891,189,968	775,673,371	9,866,156,774

As at 31 March 2020	Neither Past Due nor Individually Impaired Rs.	Past Due Not Individually Impaired Rs.	Individually Impaired Rs.	Total Rs.
Assets				
Cash and Bank Balances	146,941,688	-	-	146,941,688
Placement With Banks	204,354,154	-	-	204,354,154
Repurchase Agreements	279,143,141	-	-	279,143,141
Loans and Advances	551,440,655	1,190,012,327	482,337,780	2,223,790,762
Lease Rentals Receivable & Stock Out on Hire	1,361,877,949	4,782,171,544	364,223,078	6,508,272,571
Equity instruments at fair value through OCI	80,400	-	-	80,400
Debt instruments at amortised cost	225,421,143	-	-	225,421,143
Other Financial Assets	54,640,147	40,387,914	-	95,028,061
Total	2,823,899,277	6,012,571,785	846,560,858	9,683,031,920

41.4.3.1 Aging Analysis of past due(i.e. facilities in arrears of 1 day and above) but not individually impaired loans by class of Financial Assets as at the end of the relevant financial period.

As at 31 March 2021**Past Due but Not Individually Impaired**

	1 to 30 Days Rs.	31 to 60 Days Rs.	61 to 90 Days Rs.	More than 91 Days Rs.	Total Rs.
Loans and Advances	135,447,860	72,437,947	46,214,583	350,315,136	604,415,526
Lease Rentals Receivable & Stock Out on Hire	1,225,094,916	538,240,354	247,222,263	1,274,563,723	3,285,121,256
Other Financial Assets				1,653,186	1,653,186
	<u>1,360,542,776</u>	<u>610,678,301</u>	<u>293,436,846</u>	<u>1,626,532,045</u>	<u>3,891,189,968</u>

Aging Analysis of past due(i.e. facilities in arrears of 1 day and above) but not individually impaired loans by class of financial assets as at the previous financial period.

As at 31 March 2020**Past Due but Not Individually Impaired**

	1 to 30 Days Rs.	31 to 60 Days Rs.	61 to 90 Days Rs.	More than 91 Days Rs.	Total Rs.
Loans and Advances	636,962,234	109,327,022	50,035,019	393,688,051	1,190,012,327
Lease Rentals Receivable & Stock Out on Hire	2,307,528,461	882,016,617	404,598,595	1,188,027,871	4,782,171,544
Other Financial Assets				40,387,914	40,387,914
	<u>2,944,490,695</u>	<u>991,343,639</u>	<u>454,633,614</u>	<u>1,622,103,836</u>	<u>6,012,571,785</u>





41. RISK MANAGEMENT DISCLOSURES (Contd...)

41.4 Credit Risk (Contd...)

41.4.4 Analysis of Risk Concentration

The following table shows the risk concentration by sector for the Financial Assets components of the Statement of Financial Position.

As at 31 March 2021

Purpose wise Breakdown	Cash and Bank Balances	Placement With Banks	Securities Purchased under Repurchase Agreement	Loans and Advances	Lease rentals receivable & Stock Out on Hire	Equity instruments at fair value through OCI	Debt instruments at amortised cost	Other Financial Assets	Total Financial Assets
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Agriculture	-	-	-	72,383,721	23,190,808	-	-	-	95,574,529
Manufacturing	-	-	-	17,328,455	12,392,478	-	-	-	29,720,933
Construction	-	-	-	35,616,949	19,332,093	-	-	-	54,949,042
Financial Services	226,092,543	207,264,972	-	22,665,168	290,150	80,400	-	-	456,393,233
Trading	-	-	-	55,066,689	23,334,137	-	-	-	78,400,826
Government	-	-	942,235,676	-	-	-	13,684,192	-	955,919,868
Hotels	-	-	-	6,094,317	405,930	-	-	-	6,500,247
Services	-	-	-	965,192,363	2,184,818,192	-	-	-	3,150,010,555
Others	-	-	-	205,160,930	3,763,370,161	-	-	99,842,557	4,068,373,647
Total	226,092,543	207,264,972	942,235,676	1,379,508,592	6,027,133,949	80,400	13,684,192	99,842,557	8,895,842,880

As at 31 March 2020

Purpose wise Breakdown	Cash and Bank Balances	Placement With Banks	Securities Purchased under Repurchase Agreement	Loans and Advances	Lease rentals receivable & Stock Out on Hire	Financial Investments - Available for Sale	Financial Investments - Held to Maturity	Other Financial Assets	Total Financial Assets
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
Agriculture	-	-	-	106,540,450	46,653,089	-	-	-	153,193,539
Manufacturing	-	-	-	30,887,464	12,309,770	-	-	-	43,197,234
Construction	-	-	-	89,615,649	25,442,497	-	-	-	115,058,146
Financial Services	146,941,688	204,354,154	-	53,630,449	1,113,010	80,400	-	-	406,119,702
Trading	-	-	-	74,469,861	39,292,485	-	-	-	113,762,346
Government	-	-	279,143,141	-	-	-	225,421,143	-	504,564,284
Hotels	-	-	-	15,964,163	6,136,758	-	-	-	22,100,921
Services	-	-	-	1,363,022,574	4,392,439,054	-	-	-	5,755,461,628
Others	-	-	-	185,964,928	1,330,940,949	-	-	96,487,549	1,613,393,425
Total	146,941,688	204,354,154	279,143,141	1,920,095,538	5,854,327,613	80,400	225,421,143	96,487,549	8,726,851,225

41. RISK MANAGEMENT DISCLOSURES (Contd...)**41.5 Interest Rate Risk**

Interest rate risk is a key constitute of the market risk exposure of the Company due to adverse and unanticipated movements in future interest rate which arises from core business activities; granting of credit facilities, accepting deposits and issuing debt instruments.

Interest rate risk arises from the possibility that changes in interest rates will affect future cash flows and / or the fair values of financial instruments. Several factors give rise to interest rate risk; among these are term structure risk, which arises due to the mismatches in the maturities of assets and liabilities; basis risk which is the threat to income arises due to differences in the bases of interest rates.

Excessive movements in market interest rate could result in severe volatility to company's net interest income and net interest margin. Company's exposure to interest rate risk is primarily associated with factors such as;

- Reprising risk arising from a fixed rate borrowing portfolio where reprising frequency is different to that of the lending portfolio.
- Yield curve risk arising from unanticipated shifts of the market yield curve.

Assets and Liabilities Committee of the company is having the primary responsibility of managing the Interest Rate Risk. Interest rate risk is managed principally through minimizing interest rate sensitive asset liability gaps. In order to ensure interest rate margin and spreads are maintained, the Company conducts periodic reviews and re-prices its assets accordingly.

ALCO closely scrutinizing the probable impact on Net interest impact resulting from interest rate related relief measures announced by CBSL to the Covid-19 affected the Company. Management is in the process of finalizing the Impact of the same.

41.5.1 Interest Rate Sensitivity

- 41.5.1.1** The following table demonstrates the sensitivity to a reasonably possible change in interest rates, with all other variables held constant, of the Company's Profit or Loss and Equity.

Borrowings/ Advance	Increase (Decrease) in basis points	Rs. Million	
		Sensitivity of Profit or Loss	Sensitivity of Equity
Long Term Loans linked to AWPLR -LKR	2021	2021	2021
	+100/ (-100)	(3.38) / 3.38	(2.53) / 2.53
	2020	2020	2020
	+100/ (-100)	(3.19) / 3.19	(5.48) /5.48

The base ratio considered in the Interest Rate Sensitivity Analysis is the AWPLR. Since 26% of total borrowings (excluding Due to Customers) are linked to AWPLR, the above sensitivity ratio indicates the impact on Profit or Loss and Equity.



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2021

41. RISK MANAGEMENT DISCLOSURES (Contd...)

41.5 Interest Rate Risk (Contd...)

41.5.2 Interest Rate Risk

Interest Rate Risk Exposure on Non Trading Financial Assets & Liabilities

The table below analyses the company's interest rate risk exposure on non- trading financial assets & liabilities. The company's assets & liabilities are included at carrying amount categorized by the earlier of contractual reprising or maturity dates as at the end of the relevant financial period.

	Up to 03 Months	03-12 Months	01-03 Years	03-05 Years	Over 05 Years	Non interest bearing	Total as at 31 March 2021
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.
ASSETS							
Cash and Bank Balances	42,328,047	-	-	-	-	183,764,496	226,092,543
Placement with Banks	192,385,701	14,879,271	-	-	-	-	207,264,972
Securities Purchased under Repurchase Agreement	942,235,676	-	-	-	-	-	942,235,676
Loans and Advances	604,625,105	308,486,791	404,825,199	54,344,242	7,227,256	-	1,379,508,592
Lease Rentals Receivable & Stock out on Hire	1,673,997,973	1,788,836,867	2,080,865,054	483,434,055	-	-	6,027,133,949
Equity instruments at fair value through OCI	-	-	-	-	80,400	-	80,400
Debt instruments at amortised cost	2,073,565	11,610,627	-	-	-	-	13,684,192
Other Financial Assets	-	-	-	-	-	99,842,557	99,842,557
TOTAL ASSETS	3,457,646,067	2,123,813,557	2,485,690,253	537,778,296	7,307,656	283,607,053	8,895,842,880
LIABILITIES							
Due to Banks	141,417,626	21,400,000	96,300,000	121,116,610	-	-	380,234,236
Due to Customers	1,327,620,375	2,784,482,309	728,358,632	78,340,821	-	-	4,918,802,137
Other Borrowed Funds	-	145,749,041	634,509,261	430,374,232	-	-	1,210,632,535
Other Financial Liabilities	-	-	-	-	-	535,607,003	535,607,003
TOTAL LIABILITIES	1,469,038,001	2,951,631,350	1,459,167,893	629,831,663	-	535,607,003	7,045,275,911
TOTAL INTEREST SENSITIVITY GAP	1,988,608,066	(827,817,794)	1,026,522,360	(92,053,367)	7,307,656	(251,999,951)	1,850,566,970



41. RISK MANAGEMENT DISCLOSURES (Contd...)**41.5 Interest Rate Risk (Contd...)****41.5.2.1 Interest Rate Risk****Interest Rate Risk Exposure on Non Trading Financial Assets & Liabilities**

The table below analyses the company's interest rate risk exposure on non- trading financial assets & liabilities. The Company's assets & liabilities are included at carrying amount categorized by the earlier of contractual reprising or maturity dates as at the end of the previous financial period.

	Up to 03 Months	03-12 Months	01-03 Years	03-05 Years	Over 05 Years	Non interest bearing	Total as at
	Rs.	Rs.	Rs.	Rs.	Rs.	Rs.	31 March 2020
ASSETS							
Cash and Bank Balances	54,748,265	-	-	-	-	92,193,422	146,941,688
Placement with Banks	189,441,476	14,912,679	-	-	-	-	204,354,154
Securities Purchased under Repurchase Agreement	279,143,141	-	-	-	-	-	279,143,141
Loans and Advances	750,478,036	396,880,097	575,856,562	168,000,405	28,880,437	-	1,920,095,538
Lease Rentals Receivable & Stock out on Hire	1,685,787,605	1,871,549,452	2,070,514,243	226,476,312	-	-	5,854,327,613
Equity instruments at fair value through OCI	-	-	-	-	80,400	-	80,400
Debt instruments at amortised cost	203,891,319	7,834,015	13,695,809	-	-	-	225,421,143
Other Financial Assets	-	-	-	-	-	96,487,549	96,487,549
TOTAL ASSETS	3,163,489,842	2,291,176,243	2,660,066,614	394,476,717	28,960,837	188,680,971	8,726,851,226
LIABILITIES							
Due to Banks	428,049,186	153,500,000	228,123,502	-	-	-	809,672,688
Due to Customers	1,383,368,734	2,866,142,159	813,011,876	85,619,275	-	-	5,148,142,044
Other Borrowed Funds	-	305,400,690	264,636,666	79,800,000	-	-	649,837,356
Other Financial Liabilities	-	-	-	-	-	720,063,470	720,063,470
TOTAL LIABILITIES	1,811,417,920	3,325,042,849	1,305,772,044	165,419,275	-	720,063,470	7,327,715,558
TOTAL INTEREST SENSITIVITY GAP	1,352,071,922	(1,033,866,606)	1,354,294,570	229,057,443	28,960,837	(531,382,499)	1,399,135,668



41. RISK MANAGEMENT DISCLOSURES (Contd...)**41.6 Liquidity Risk**

Liquidity risk refers to the availability of sufficient cash balances to meet the demand on deposits and new lending targets as well as provide a flow of net liquid assets to meet contractual borrowings and other commitments. Liquidity risk is financial risk due to uncertain liquidity. An institution might lose liquidity if it experiences sudden unexpected cash outflows, or some other event causes counterparties to avoid trading with or lending to the institution. A firm is also exposed to liquidity risk if markets on which it depends are subject to loss of liquidity. The Company's primary objective in liquidity risk management is to ensure adequate funding for its businesses throughout market cycles, including periods of financial stress. To achieve this objective the asset and liability management committee (ALCO) analyses and monitors liquidity risk, and maintains an adequate margin of safety in liquid assets.

The Company maintains a portfolio of highly marketable and diverse assets that are assumed to be easily liquidated in the event of an unforeseen interruption of cash flow. The Company also has committed lines of credit that it can access to meet liquidity needs. In addition, the Company maintains the liquidity ratio prescribed by Central Bank of Sri Lanka.

Management of the Company maintaining a stable liquidity position even during this challenging period due to COVID 19 outbreak and closely monitoring the position on daily basis and taking necessary measures to ensure the safeguard of the entity. The company introduced more rigour to the processes already in place to manage its liquid assets including cost saving measures. These actions taken will help to maintain suitable liquidity position while ensuring the interest of company's stakeholders despite of disruptive effect on liquidity that may arise due to the continuously evolving nature of the pandemic.

41.6.1 Statutory Liquid Asset Ratio

As per the requirements of Finance companies (Liquid Assets) Direction No.4 of 2013 the Company has to maintain minimum liquid assets comprises of 10% of Time Deposits and Certificates of Deposits at the close of the business on such day and 15% of Savings Deposits at the close of the business on such day. In addition to the above, with effect from 01st July, 2014 the company needs to maintain 10% on Borrowings which are not included in the Tier –II capital base and borrowings which are not secured by mortgage of any assets. Further the Company has to maintain liquid assets in the form of Sri Lanka Government Securities not less than 7.5% of average month end total deposit liabilities and the above said borrowings of twelve months of the preceding financial year.

The Company maintained a healthy statutory liquid asset ratio throughout the year. The Company considers cash balances, Favorable Balances held with Commercial Banks on demand deposits, Placement with banks in the form of Time Deposits and Savings, Investment in Treasury Bills, Securities Purchased under Repurchase Agreement are considered as Liquid Assets for the purpose Statutory Liquid Asset Ratio calculation.

	Statutory Liquid Asset Ratio	
	2021	2020
Maximum	28.89%	21.06%
Minimum	9.43%	13.19%
Average	19.95%	16.62%
Closing	27.43%	14.37%

41.6.2 Advances to Deposits ratio

The Company stresses the importance of maintaining an adequate Customer Deposit Base such as Time and Savings Deposits as sources of funds to finance Loans and Advances. They are monitored using the Advances to Deposits ratio which comprises accommodations to customers as a percentage of customer deposits.

	Advances to Deposits Ratio	
	2021	2020
Maximum	156.75%	151.01%
Minimum	139.91%	127.17%
Average	146.90%	133.62%
Closing	150.13%	151.01%



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2021

41. RISK MANAGEMENT DISCLOSURES (Contd...)

41.6.3 Contractual Maturities of Undiscounted Cash Flows of Financial Assets & Financial Liabilities

41.6.3.1 The table below analyses the maturity profile of the undiscounted cash flows of the Company's Financial Assets & Liabilities as at the end of relevant financial period. The estimated maturity profiles of undiscounted cash flows may also differ, due to Covid-19 related events.

ASSETS	On Demand Rs.	Up to 03 Months Rs.	03-12 Months Rs.	01-03 Years Rs.	03-05 Years Rs.	Over 05 Years Rs.	Total as at 31 March 2021 Rs.
Cash and Bank Balances	226,092,543	-	-	-	-	-	226,092,543
Placement With Banks	910,591	192,694,355	15,312,289	-	-	-	208,917,235
Securities Purchased under Repurchase Agreement	-	942,235,677	-	-	-	-	942,235,677
Loans and Advances	454,565,289	180,863,676	398,592,379	586,258,229	84,798,195	10,505,197	1,715,582,965
Lease rentals receivable & Stock out on Hire	1,031,558,117	879,264,910	2,378,735,881	3,112,028,952	829,521,885	-	8,231,109,745
Equity instruments at fair value through OCI	-	-	-	-	-	80,400	80,400
Debt instruments at amortised cost	-	2,000,000	11,605,500	-	-	-	13,605,500
Other Financial Assets	63,631,248	7,124,364	18,852,437	6,531,037	2,950,305	753,166	99,842,557
Total Financial Assets	1,776,757,788	2,204,182,982	2,823,098,486	3,704,818,218	917,270,385	11,338,763	11,437,466,622
LIABILITIES							
Due to Banks	130,717,626	37,444,136	108,100,790	127,044,990	-	-	403,307,542
Due to Customers	111,562,015	1,176,430,692	2,900,203,860	755,847,355	80,903,494	-	5,024,947,416
Other Borrowed Funds	-	145,749,042	666,333,858	493,161,506	-	-	1,305,244,406
Other Financial Liabilities	-	483,168,729	15,726,548	23,241,268	8,542,963	4,927,495	535,607,003
Total Financial Liabilities	242,279,641	1,842,792,599	3,690,365,056	1,399,295,119	89,446,457	4,927,495	7,269,106,368
	1,534,478,147	361,390,383	(867,266,570)	2,305,523,099	827,823,928	6,411,268	4,168,360,254



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2021

41. RISK MANAGEMENT DISCLOSURES (Contd...)

41.6.3 Contractual Maturities of Undiscounted Cash Flows of Financial Assets & Financial Liabilities

41.6.3.2 The table below analyses the maturity profile of the undiscounted cash flows of the Company's Financial Assets & Liabilities as at the end of previous financial period.

ASSETS	On Demand Rs.	Up to 03 Months Rs.	03-12 Months Rs.	01-03 Years Rs.	03-05 Years Rs.	Over 05 Years Rs.	Total as at 31 March 2020 Rs.
Cash and Bank Balances	146,941,688	-	-	-	-	-	146,941,688
Placement With Banks	11,939,501	179,621,744	15,028,904	-	-	-	206,590,149
Securities Purchased under Repurchase Agreement	-	279,821,007	-	-	-	-	279,821,007
Loans and Advances	589,390,992	230,010,607	533,224,036	861,816,513	276,604,018	31,881,142	2,522,927,308
Lease rentals receivable & Stock out on Hire	982,632,285	926,603,036	2,432,739,595	2,964,543,184	368,723,960	-	7,675,242,060
Equity instruments at fair value through OCI	-	-	-	-	-	80,400	80,400
Debt instruments at amortised cost	-	205,166,901	8,000,000	13,605,500	-	-	226,772,401
Other Financial Assets	58,840,198	18,198,262	4,516,699	11,771,588	3,160,802	-	96,487,549
Total Financial Assets	1,789,744,664	1,839,421,557	2,993,509,234	3,851,736,785	648,488,780	31,961,542	11,154,862,562
LIABILITIES							
Due to Banks	274,356,762	170,558,313	191,976,426	277,455,885	-	-	914,347,386
Due to Customers	143,920,353	1,229,240,984	2,994,881,204	864,113,019	88,758,408	-	5,320,913,968
Other Borrowed Funds	309,298,783	360,825,233	21,217,395	-	-	-	691,341,411
Other Financial Liabilities	-	648,808,867	28,440,100	32,975,080	8,581,605	1,257,818	720,063,470
Total Financial Liabilities	727,575,898	2,409,433,397	3,236,515,125	1,174,543,984	97,340,013	1,257,818	7,646,666,236
	1,062,168,767	(570,011,840)	(243,005,891)	2,677,192,800	551,148,767	30,703,724	3,508,196,326

41.7 Operational Risk

An operational risk is the risk arising from execution of a company's business functions. The concept of operational risk is broad and focuses on the risks arising from the people, systems and processes through which a company operates. It also includes other categories such as fraud risks, regulatory and compliance risks, reputation and physical or environmental risks.



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2021

42. MATURITY ANALYSIS (CONTRACTUAL)

- 42.1** An analysis of the Total Assets employed and Total Liabilities at the year end, based on the remaining term at the date of the Statement of Financial Position to the respective contractual maturity dates are given below. The estimated maturity profiles of may differ, due to Covid-19 related events.

ASSETS	On Demand Rs.	Up to 03 Months Rs.	03-12 Months Rs.	01-03 Years Rs.	03-05 Years Rs.	Over 05 Years Rs.	Total as at 31 March 2021 Rs.
Cash and Bank Balances	226,092,543	-	-	-	-	-	226,092,543
Placement With Banks	-	192,421,360	14,843,612	-	-	-	207,264,972
Securities Purchased under Repurchase Agreement	-	942,235,676	-	-	-	-	942,235,676
Loans and Advances	454,565,289	150,059,816	308,486,791	404,825,199	54,344,242	7,227,256	1,379,508,592
Lease rentals receivable & Stock out on Hire	1,003,768,979	670,228,994	1,788,836,867	2,080,865,054	483,434,055	-	6,027,133,949
Equity instruments at fair value through OCI	-	-	-	-	-	80,400	80,400
Debt instruments at amortised cost	-	2,073,565	11,610,627	-	-	-	13,684,192
Other Financial Assets	63,631,248	7,124,363	18,852,437	6,531,036	2,950,305	753,168	99,842,557
Real Estate Stock	-	-	-	31,066,726	-	-	31,066,726
Other Non Financial Assets	-	16,513,792	12,865,569	193,789	3,533,426	16,183,276	49,289,851
Property, Plant & Equipment	-	3,767,554	9,078,895	13,993,678	4,259,544	114,942,043	146,041,713
Intangible Assets	-	1,478,914	4,436,741	11,831,309	8,940,594	7,178,864	33,866,422
Right-of- use Assets	-	11,126,856	18,098,641	23,063,461	7,334,245	2,867,669	62,490,872
Deferred tax assets	-	-	-	9,815,140	-	-	9,815,140
Total Assets	1,748,058,059	1,997,030,889	2,187,110,180	2,582,185,393	564,796,409	149,232,676	9,228,413,605
LIABILITIES							
Due to Banks	130,717,626	10,700,000	21,400,000	96,300,000	121,116,610	-	380,234,236
Due to Customers	137,951,592	1,189,668,783	2,784,482,309	728,358,632	78,340,821	-	4,918,802,137
Other Borrowed Funds	-	145,749,041	634,509,261	430,374,232	-	-	1,210,632,535
Other Financial Liabilities	-	483,168,729	15,726,549	23,241,269	8,542,963	4,927,494	535,607,003
Other Non Financial Liabilities	-	15,877,158	-	-	-	-	15,877,158
Current Tax Liabilities	-	-	147,245,448	-	-	-	147,245,448
Retirement Benefit Liability	-	-	3,627,938	3,550,640	7,036,692	12,799,656	27,014,926
Total Liabilities	268,669,218	1,845,163,711	3,606,991,505	1,281,824,773	215,037,086	17,727,150	7,235,413,443



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2021

42. MATURITY ANALYSIS (CONTRACTUAL)

42.2 An analysis of the Total Assets employed and Total Liabilities at the year end, based on the remaining term at the end of the previous financial period to the respective contractual maturity dates are given below

ASSETS	On Demand Rs.	Up to 03 Months Rs.	03-12 Months Rs.	01-03 Years Rs.	03-05 Years Rs.	Over 05 Years Rs.	Total as at 31 March 2020 Rs.
Cash and Bank Balances	146,941,688	-	-	-	-	-	146,941,688
Placement With Banks	10,354,695	179,133,051	14,866,409	-	-	-	204,354,154
Securities Purchased under Repurchase Agreement	-	279,143,141	-	-	-	-	279,143,141
Loans and Advances	568,802,410	181,675,626	396,880,097	575,856,562	168,000,405	28,880,437	1,920,095,538
Lease rentals receivable & Stock out on Hire	959,139,007	726,648,598	1,871,549,452	2,070,514,243	226,476,312	-	5,854,327,613
Equity instruments at fair value through OCI	-	-	-	-	-	80,400	80,400
Debt instruments at amortised cost	-	203,891,319	7,834,015	13,695,809	-	-	225,421,143
Other Financial Assets	58,840,198	18,198,262	4,516,699	11,771,588	3,160,803	-	96,487,549
Real Estate Stock	-	-	-	39,313,213	-	-	39,313,213
Other Non Financial Assets	-	13,554,890	26,578,796	1,191,783	595,295	22,032,371	63,953,134
Property, Plant & Equipment	-	5,000,758	12,427,979	19,220,727	7,021,271	26,662,173	70,332,907
Intangible Assets	-	1,165,839	3,497,516	9,326,709	9,325,703	6,023,653	29,339,420
Right-of- use Assets	-	10,638,464	30,015,211	33,363,452	6,395,612	837,594	81,250,333
Deferred tax assets	-	-	-	45,073,647	-	-	45,073,647
Total Assets	1,744,077,998	1,619,049,948	2,368,166,174	2,819,327,733	420,975,401	84,516,628	9,056,113,880
LIABILITIES							
Due to Banks	274,356,762	153,692,424	153,500,000	228,123,502	-	-	809,672,688
Due to Customers	163,673,069	1,219,695,665	2,866,142,159	813,011,876	85,619,275	-	5,148,142,044
Other Borrowed Funds	-	305,400,690	264,636,666	79,800,000	-	-	649,837,356
Other Financial Liabilities	-	648,808,866	28,440,100	32,975,080	8,581,605	1,257,818	720,063,470
Other Non Financial Liabilities	-	23,791,226	-	-	-	-	23,791,226
Current Tax Liabilities	-	-	47,853,948	-	-	-	47,853,948
Retirement Benefit Liability	-	-	3,308,404	3,550,640	4,930,578	7,645,526	19,435,148
Total Liabilities	438,029,831	2,351,388,871	3,363,881,277	1,157,461,098	99,131,458	8,903,344	7,418,795,879



43. COMMITMENTS AND CONTINGENCIES**43.1 Commitments**

There is no Operating Lease Commitments as at 31 March 2021 as all the Operating Leases has been reclassified in accordance with SLFRS 16

43.2 Contingent Liabilities

As per the notice of assessment issued by the Department of Inland Revenue, the Company has to make an additional income tax payment for the years of assessment 2012/13, 2013/14, 2015/16 and 2017/18 amounting to Rs. 18,260,106, Rs. 55,865,256, Rs. 63,635,962.63 and Rs. 130,215,620.71 respectively and an additional VAT payment for the year of assessment 2017/18 amounting to Rs. 51,344,19. The company has already appealed in this regard.

The Department of Inland Revenue has issued the determination of appeal dated on 12 January 2018 & 25 June 2018 for the Y/A 2012/2013 and 2013/2014 respectively. The Company has made an appeal to the Tax Appeal Commission on the same.

An additional provision has not been made due to the basis in the appeal made by the company on clear grounds with the guidance of tax consultants and as all in the appeal stage and still not been concluded.

43.3 Capital Commitments

The Company has no commitments for acquisition of Property, Plant & Equipment and Intangible assets incidental to the ordinary course of business.

44. CAPITAL

The Company maintains an activity managed capital basis to cover risks inherent in the business and meet the capital adequacy requirements of Central Bank of Sri Lanka. The adequacy of the company's capital is monitored based on the measures, rules and ratios adopted by Central Bank of Sri Lanka.

Capital Management

The primary objective of Company's capital management policy are to ensure that the company complies with externally imposed capital requirements and healthy capital ratios in order to support its business and to maximize shareholders' value.

Abans Finance PLC is yet to comply with the minimum core capital requirement i.e. Rs. 2.0 Billion, set out in the Direction No.02 of 2017 of Finance Business Act and subsequent amendments thereof as of 31 March 2021. As the current deposit portfolio stands at Rs. 4.9 Billion Mn as per the audited financial statements as of 31.03.2021 the Company is able to accept deposits only up to Rs. 6.0 Billion as per temporary cap imposed by the Central Bank of Sri Lanka.

45. ASSETS PLEDGED

The following assets have been pledged as security for liabilities.

Nature of Assets	Nature of Liability	Carrying Amount Pledged		Included Under
		2021 Rs.	2020 Rs.	
Lease & Hire Purchase Receivables	Bank Overdraft	356,000,000	356,000,000	Lease Rental Receivables and Stock Out on Hire
Placement With Banks	Bank Overdraft	53,365,669	53,290,344	Placement With Banks
Lease & Hire Purchase Receivables	Term Loan	2,085,848,146	1,460,494,004	Lease Rental Receivables and Stock Out on Hire
		<u>2,495,213,815</u>	<u>1,869,784,348</u>	



46. EVENTS AFTER THE REPORTING DATE

Events after the reporting period are those events, favorable and unfavorable, that occur between the reporting date and the date of the financial statements are authorised for issue.

As per the sector consolidation plan of the Central bank of Sri Lanka (CBSL), Abans Finance PLC also in the process of complying with the requirement.

Except above, there are no events occurring after the reporting date which require adjustments to or disclosure in the financial statements as at 31 March 2021.

47. RELATED PARTY TRANSACTIONS

The Company carried out transactions with key management and their related concerns and other related entities in the ordinary course of its business on an arm's length basis at commercial rates with the parties who are defined as Sri Lanka Accounting Standard No.24 Related Party Disclosure, details of which are reported below. such transactions is based on the assessment of risk and pricing model of the Company and is comparable with what is applied to transactions between the Company and its unrelated customers.

Outstanding balances as at the year-end are unsecured, interest free, and due on demand. There have been no guarantees provided or received for any related party receivables or payables.

Details of related party transactions during the year are as follows:

47.1 The Parent

Abans PLC owns 49.67% (2020- 49.67%) shareholding of the Company.

47.2 The Ultimate Parent

Abans International (Pvt) Ltd is the ultimate parent of Abans Finance PLC.

47.3 Transactions with Key Management Personnel

According to Sri Lanka Accounting Standard-LKAS 24 (Related Party Disclosures), Key Management Personnel (KMP) are those having authority and responsibility for planning, directing and controlling the activities of the entity. According to the above definition a person cannot be considered as a KMP unless such person has both the authority and responsibility to carry out all of the three activities mentioned in the above definition (i.e. planning, directing and controlling the activities of the entity). Such KMPs include the Board of Directors of the Company and Chief Executive Officer (CEO) and the KMPs of Abans PLC.

Other related parties include CFMs of the KMPs who are family members who may be expected to influence or be influenced by that KMP in their dealings with the entity.

Compensation to Key Management Personnel

	2021 Rs.	2020 Rs.
Short Term Employee Benefits	10,849,557	18,781,427
Post-employment benefits	801,950	1,593,135
	<u>11,651,507</u>	<u>20,374,562</u>

Other transactions with Key Management Personnel

	2021 Rs.	2020 Rs.
Fixed Deposits accepted during the year	3,440,810	11,350,000
Fixed Deposits held at the end of the year	15,700,210	520,302,897
Consultancy Fee paid during the year	3,540,000	3,155,500



In addition to the above, the Company has also provided non-cash benefits such as vehicle & fuel allowance to Key Management Personnel in line with the approved employment benefits of the Company.

Loans and Advances granted

No loans or advances were given to Key Managerial Personnel and their close family members during the year.(2019/2020- Nil).

47. RELATED PARTY TRANSACTIONS (Contd..)

47.4 Transactions with entities that are controlled, jointly controlled or significantly influenced by Key Management Personnel or their close member of family, or shareholders who have either control, significant influences or joint control over entity.

Nature of Transaction	Abans PLC Parent Company		Abans Auto (Pvt) Ltd Affiliate Company		Abans Tours (Pvt) Ltd Affiliate Company		Abans Transport (Pvt) Ltd Affiliate Company		Other Related Parties **		Total	
	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.	2021 Rs.	2019 Rs.	2021 Rs.	2020 Rs.
Fixed Deposits Accepted during the year	-	-	-	-	-	-	-	-	15,000,000	-	15,000,000	-
Fixed Deposits held at the end of the year	-	-	-	-	-	-	-	-	244,821,423	125,663,586	244,821,423	125,663,586
As at 1 April	24,039,410	16,831,696	(33,210,052)	(97,728,028)	-	-	7,547,769	6,807,875	(3,123,088)	(2,505,169)	(4,745,961)	(76,593,625)
Purchase of Motor Bikes - Lease Granting			(69,903,080)	(400,832,591)	-	-	-	-	-	-	(69,903,080)	(400,832,591)
Collections made on behalf of Abans Finance	720,132,649	1,041,197,941	-	-	-	-	-	-	-	-	720,132,649	1,041,197,941
Expense on collection commission	(3,740,917)	(7,822,702)	-	-	-	-	-	-	-	-	(3,740,917)	(7,822,702)
Support Services Expenses		-	-	-	-	-	-	-	(10,000,622)	(12,499,300)	(10,000,622)	(12,499,300)
Rent Income Recognized & Expense Recoveries	(1,584,648)	(1,126,700)	-	-	-	-	-	-		(772,457)	(1,584,648)	(1,899,156)
Rent Expense Paid		-	-	-	-	-	-	-	129,600	835,714	129,600	835,714
Settlements Paid/(Received)	(731,529,606)	(1,025,040,826)	101,674,067	465,350,566	-	-	-	-	12,292,068	11,818,124	(617,563,470)	(547,872,136)
Facilities Granted and Interest Accrued	-	-	-	-	-	-	657,452	739,894	-	-	657,452	739,894
Settlements received for the facilities	-	-	-	-	-	-	-	-	-	-	-	-
As at 31 March	7,316,888	24,039,410	(1,439,066)	(33,210,052)	-	-	8,205,221	7,547,769	(702,041)	(3,123,088)	13,381,003	(4,745,961)

Included in

Loans and Advances
Other Financial Assets
Other Financial Liabilities

2021 Rs.	2020 Rs.
8,205,221	7,547,769
7,987,631	24,894,050
(2,811,849)	(37,187,781)
13,381,003	(4,745,961)

**Other Related Parties include the following companies

Abans Graphics (Pvt) Ltd
Abans Retail (Pvt) Ltd
Abans Marketing (Pvt) Ltd
Abans Electricals PLC (Service Department)
Abans Office Automation (Pvt) Ltd
AB Creation (Pvt) Ltd
Add Outdoor Advertising (Pvt) Ltd
ABS Gardiner Dixon Hall International (Pvt) Ltd
Advantage Technologies (Pvt) Ltd
Abans Environment Services (Pvt) Ltd
AB Logistics (Pvt) Ltd
AB Logistics (Pvt) Ltd
ABS Courier (Pvt) Ltd
Ironwood Investments Holdings (Pvt) Ltd
Elizabeth Moir School

Other Related Parties are companies controlled / jointly controlled / significantly influenced by Key Management Personnel.



NOTES TO THE FINANCIAL STATEMENTS

Year ended 31 March 2021

48. FINANCIAL REPORTING BY SEGMENT

	Leasing		Hire purchase		Term Loans		Others		Total	
	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.
Interest Income	1,298,063,388	1,352,229,317	126,003	1,492,710	346,327,135	405,750,147	41,811,541	79,373,164	1,686,328,068	1,838,845,338
Fee Based Income & Others	123,914,290	174,155,250	3,629,454	1,089,661	1,936,522	7,072,885	8,527,576	2,250,446	138,007,842	184,568,242
Unallocated Income	-	-	-	-	-	-	16,721,913	14,461,942	16,721,913	14,461,942
Total Revenue	1,421,977,678	1,526,384,567	3,755,458	2,582,371	348,263,657	412,823,032	67,061,030	96,085,552	1,841,057,823	2,037,875,523
Interest Expenses	(452,648,947)	(580,167,027)	(1,562,301)	(2,363,308)	(126,139,137)	(212,128,538)	(74,258,350)	(82,073,169)	(654,608,735)	(876,732,041)
Fee Based Expenses & Others	(9,468,943)	(361,818)	-	-	-	(19,373)	(12,872,101)	(13,252,802)	(22,341,043)	(13,633,993)
Impairment Reversal / (Provision)	(14,245,235)	(71,702,129)	(50,379)	(254,534)	(20,659,167)	(91,641,421)	(73,311,972)	(169,655,724)	(108,266,753)	(333,253,806)
Net Operating Income	945,614,553	874,153,594	2,142,778	(35,470)	201,465,353	109,033,700	(93,381,392)	(168,896,143)	1,055,841,292	814,255,681
Unallocated Expenses									(628,675,286)	(660,306,829)
Profits/ (Loss) before Tax									427,166,006	153,948,852
Income Tax expenses									(139,975,056)	(50,521,758)
Net Profit /(Loss) for the period									287,190,950	103,427,094
Other Comprehensive Income									68,491,211	(169,356)
Total Comprehensive Income for the Year									355,682,161	103,257,738
Segment Assets	6,006,543,852	5,834,050,346	20,590,097	20,277,267	1,379,508,592	1,920,095,538	1,194,251,566	748,231,652	8,600,894,107	8,522,654,802
Unallocated Assets	-	-	-	-	-	-	-	-	627,519,498	533,459,078
Total Assets	6,006,543,852	5,834,050,346	20,590,097	20,277,267	1,379,508,592	1,920,095,538	1,194,251,566	748,231,652	9,228,413,605	9,056,113,880
Unallocated Liabilities									7,235,413,443	7,418,795,879
Total Liabilities									7,235,413,443	7,418,795,879



Abans Finance PLC
Selected Key Performance Indicators

Item	As at 31/03/2021 (e)		As at 31/03/2020 (f)	
	Actual	Required	Actual	Required
Regulatory Capital Adequacy (%)				
Tier 1 Capital Adequacy Ratio	11.98	6.50	9.76	6.50
Total Capital Adequacy Ratio	13.06	10.50	10.84	10.50
Capital Funds to Deposit Liabilities Ratio	39.09	10.00	31.80	10.00
Quality of Loan Portfolio (%)				
Gross Non-Performing Loans Ratio (g),	23.42		21.59	
Net-Non-Performing Loans Ratio (g),	4.16		4.52	
Net-Non-Performing Loans to Core Capital Ratio,	18.24		24.21	
Provision Coverage Ratio,	63.47		62.78	
Profitability (%)				
Net Interest Margin	11.02		10.57	
Return on Assets	3.14		1.15	
Return on Equity	15.82		6.52	
Cost to Income Ratio	45.78		50.42	
Liquidity (%)				
Available Liquid Assets to Required Liquid Assets (g) (Minimum 100%)	438.75		238.30	
Liquid Assets to External Funds	20.14		11.19	
Memorandum information				
Number of Branches	10		10	
Number of Service Centers	9		13	
External Credit Rating (FITCH Ratings Lanka Ltd.)	A (lka)		BB+(lka) /Negative	
Regulatory Deposit Restrictions (h)				
Cap on total Deposits (Rs. mn)	6,000		6,000	

(e) Date as at which the balance sheet is represented (i.e. 31 March 2021 in the current financial year)

(f) Date as at which the balance sheet is represented (i.e. 31 March'2020 in the previous financial year)

(g) As per the prevailing regulatory requirements

(h) Disclose only if applicable

CERTIFICATION:

We, the undersigned, being the Chief Executive Officer, the Chief Financial Officer and the Act.Compliance Officer of Abans Finance PLC certify jointly that:

(a) the above statements have been prepared in compliance with the format and definitions prescribed by the Central Bank of Sri Lanka(CBSL);

(b) the information contained in these statements have been extracted from the audited financial statements of the Company

Dharshan Silva
(Sgd.) Chief Executive Officer
Date: 15/06/2021

Prashad Samantha
(Sgd.) Chief Financial Officer
Date: 15/06/2021

K.K.Chamith De Silva ☐
(Sgd.) Act.Compliance Officer
Date: 15/06/2021

Explanations/Glossary	
Capital Adequacy ratios	Indicates the ability of the financial institution to absorb losses without affecting depositors and creditors. This ratio is computed by dividing capital by risk weighted assets as specified by the Direction, and high ratio indicates better loss absorption capacity.
Non-Performing Loans ratio	Indicates level of non-paying loans and advances included in the total loans portfolio of the financial institution. High ratio indicates poor assets quality and high credit risk.
Provision Coverage ratio	Indicates the adequacy level of provision to cover problem loans and advances. A higher ratio with a higher capital adequacy ratio means that the financial institution can withstand future credit losses better, including unexpected losses beyond the loan loss provision
Net Interest Margin	Indicates profitability of the core business operation of the financial institution. i.e. granting loans and advances and accepting deposits.
Cost to income ratio	Represents operating expense, excluding impairment charges on loans and advances as a percentage of net revenue (net interest income and other income). Lower ratio will resultant in higher profitability.
Liquid Assets	A liquid asset is an asset that can easily be converted into cash.
Cap	Maximum limit imposed by the CBSL.
Downsizing	Gradual reduction of the business operation imposed by the CBSL.
Freezing	An order of CBSL that is in place preventing further transactions of the Company.
Tier 1 Capital	Represents permanent shareholder equity and reserves.
Total Capital	Represents Tier 1 and supplementary capital including instruments with characteristics of equity and debt, revaluation gains, impairment allowances.
Risk Weighted Assets	Sum of on-balance sheet risk weighted assets and the total credit equivalent of risk weighted off-balance sheet assets.
Tier 1 Capital ratio	Tier 1 capital as a percentage of risk weighted assets
Total Capital ratio	Total capital as a percentage of risk weighted assets.
Capital Funds	Paid up capital, permanent free reserves and any other securities approved by the CBSL.
Non-Performing Loan	A loan in which the borrower has defaulted and hasn't made scheduled payments of principal or and / interest as per the stipulated guidelines issued by CBSL.
Net Interest Margin	Annualised net interest income (interest income less interest expenses) as a percentage of average interest earning assets (based on average values).
Return on Assets	Annualised profit after tax as a percentage of total net assets (based on average values).
Return on Equity	Annualised profit after tax as a percentage of total capital (based on average values).
External Funds	Includes only deposits and borrowings.